

GROWTH & EXPANSION



Housing
Finance



ANNUAL REPORT
& FINANCIAL STATEMENTS 2014

CELEBRATING 50 Years OF GREAT HEADLINES

Board picks 116 applicants for Woodley houses

By NATION Reporter
THE Central Housing Board has shortlisted 116 applicants for the 37 houses to be built next month in Woodley under the board's mortgage housing projects.
The board received about 900 applications when it advertised last July that it was to build houses in Woodley for sale to Kenya.
The construction of houses in Woodley is expected to start in April, 1967, as it is only just started.
The 116 applicants have been shortlisted by the board and will be notified by letter.

Three types of houses were advertised and cost £3,000, £4,125 (originally £4,000) and £3,575 (originally £3,000) respectively.
The monthly repayment cost of these houses is 90/40 for to help those who may wish to purchase property but are not able to afford doing so. He said that it was quite possible that many people whose earnings were high enough to be able to participate had not

gata houses to pay their deposits will be sent out as soon as possible. We request them to be patient as planning for these houses has not yet reached the stage when the estimated cost of services can

Housing Finance Company of Kenya Ltd. Managers and Secretaries First Permanent (East Africa) Ltd.

Commonwealth House, Government Road, Nairobi

The Directors have pleasure in announcing that the Company is now in operation and that all enquiries should be directed to the managers.

PRINCIPAL OBJECTS

To make loans primarily to Kenya Citizens to enable them to construct, or purchase newly constructed houses for their own occupation, the main objectives being to stimulate new housing development.

At a later stage the company will provide assistance in the purchase of

City's big housing scheme

By MICHAEL CHESTER

RADICAL new advances in housing plans in Kenya were heralded yesterday with an announcement by the Central Housing Board of proposals to build two new model estates in the Nairobi suburbs.

The building plans form part of a programme by the Ministry of Housing to give

to building

The 60's

In the 50 years Housing Finance has been in existence, we have developed major housing and infrastructure projects in Kenya. But by far the greatest achievement has been the great partnerships we have built with all stakeholders. We celebrate each partnership and look forward to building an even greater nation. Tusherekee pamoja!

Housing
Finance



REPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2014

1

ANNUAL REPORT &
FINANCIAL STATEMENTS 2014

HOUSING FINANCE

DIRECTORS, OFFICERS AND ADMINISTRATION	2
BOARD OF DIRECTORS	4
CHAIRMAN'S STATEMENT	6
MANAGING DIRECTOR'S STATEMENT	13
SENIOR MANAGEMENT	17
ACTIVITIES	18
REPORT OF THE DIRECTORS	24
CORPORATE GOVERNANCE	28
STATEMENT OF DIRECTORS' RESPONSIBILITIES	34
REPORT OF THE INDEPENDENT AUDITORS	36
CONSOLIDATED STATEMENT OF PROFIT OR LOSS	39
CONSOLIDATED STATEMENT OF FINANCIAL POSITION	40
COMPANY STATEMENT OF FINANCIAL POSITION	41
CONSOLIDATED STATEMENT OF CASH FLOWS	42
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY	43
COMPANY STATEMENT OF CHANGES IN EQUITY	45
NOTES TO THE FINANCIAL STATEMENTS	47
SHAREHOLDER'S PROXY	105

DIRECTORS, OFFICERS AND ADMINISTRATION

DIRECTORS

Steve O Mainda
Frank Ireri
David R Ansell*
Benson Wairegi
Peter K Munga
Shem Migot-Adholla
Adan D Mohamed
Gladys Ongayo Ogallo
Constance Gakonyo

Chairman
Managing Director

Appointed 8 January 2014
Appointed 17 April 2014

* American

COMPANY SECRETARY

Regina Anyika
Rehani House
Kenyatta Avenue/Koinange Street
P.O. Box 30088
00100 Nairobi GPO

REGISTERED OFFICE

Plot No. LR 209/9054
Rehani House
Kenyatta Avenue/Koinange Street
P.O. Box 30088
00100 Nairobi GPO

SHARE REGISTRAR

Regina Anyika, CPS (K)
Housing Finance Company of Kenya Limited
Rehani House
Kenyatta Avenue/Koinange Street
P.O. Box 30088
00100 Nairobi GPO

AUDITORS

KPMG Kenya
Certified Public Accountants
8th Floor, ABC Towers
Waiyaki Way
P.O. Box 40612
00100 Nairobi GPO

PRINCIPAL LEGAL ADVISORS

Kaplan & Stratton Advocates
Williamson House
4th Ngong Avenue
P.O. Box 40111
00100 Nairobi GPO

SUBSIDIARIES

Kenya Building Society Limited
First Permanent (East Africa) Limited
Housing Finance Insurance Agency Limited
Housing Finance Foundation Limited

Walker Kontos Advocates
Hakika House
Bishops Road
P.O. Box 60680
00200 Nairobi City Square

BANKERS

Equity Bank Limited
NHIF Building, Community
P.O. Box 75104
00200 Nairobi City Square

Standard Chartered Bank Kenya Limited
Kenyatta Avenue
P.O. Box 40310
00100 Nairobi GPO

Citibank NA
Upper Hill Road
P.O. Box 30711
00100 Nairobi GPO

Central Bank of Kenya
Haile Selassie Avenue
P.O. Box 60000
00200 Nairobi City Square

Barclays Bank of Kenya Limited
Barclays Plaza
P.O. Box 46661
00100 Nairobi GPO





**Steve Omenge
Mainda**
Chairman

Frank Ireri
Managing Director

**Adan Daud
Mohamed**

Peter Munga

Benson Wairegi

Gladys Ogallo

**Shem Migot
Adholla**

David Ansell

Constance Gakonyo





Steve Omenge Mainda, EBS
Chairman

Dear Shareholders,

On behalf of the board, it is my pleasure to present to you the Housing Finance Group's performance for the year ended 31st December 2014.

I will highlight some of the key events which characterized the year, their impacts on our business, as well as our major achievements within the operating year.

Overview

In 2014, the business and economic climate was shaped by improved GDP growth which averaged 5 percent; relatively stable interest rates, and stable inflation.

However, the macroeconomic environment was also affected by security risks within the region whose impact affected foreign direct investment as well as earnings from the tourism sector.

Robust activity in the construction, manufacturing, financial and insurance, information and communication, wholesale and retail trade sectors underpinned overall growth for the country in 2014.

During the year, Housing Finance Group's focus was on sustaining growth on the back of our ongoing strategic activities.

HF Financial Performance

I am pleased to present a satisfactory performance for the financial year ended December 2014. We were able to consistently deliver value to our shareholders, further authenticating our resilient business model.

For the second year running the firm posted profitability in excess of Kshs 1 billion, which is commendable considering the difficult trading environment. I would like to highlight some of the achievements that we have made so far to appreciate our strategy, growth and the vision for the future.

Strategic Highlights

Our current strategy continues to focus on the aggressive growth of the company. The subsidiaries contribution to the business has grown significantly and this trend is expected to continue.

The year marked the commencement of the Group's third year of the 2012 – 2016 strategy in which we have sustained the profitability momentum. The commercial banking strategy is taking shape and has positively impacted the Group's profitability. Further, we are

increasing our retail foot print with additional branches set to be rolled out in 2015, in line with the business growth strategy.

Operation Efficiency

Housing Finance has invested in a new Core Banking System that will support operations, product rollout and services rendered to our customers. I am happy to announce that the roll out of this system is on course and is expected to go live in 2015.

Corporate Social Responsibility

Housing Finance has a strong corporate social responsibility arm; the Housing Finance Foundation (HFF) that is focused on capacity building for Technical Training Institutions

Housing Finance Foundation (HFF) was founded in 2012 with the aim to deliver, facilitate and catalyze industry relevant and sustainable practical skills required by the building and construction industry through the creation of an "Army of 1 Million Artisans" which is one of the vision 2030 flagship projects.

HFF's core pillars are a direct response to the challenges the building and construction industry is facing in terms of supply of qualified artisans and a significant contributor to shifting the youth unemployment challenge.

The Foundation led an industry-wide initiative to develop occupational standards for the building and construction industry which are now in use. This initiative was launched in March 2014 during a Competency Based Curriculum Framework Development stakeholders' workshop, which was graced by H.E. The Deputy President of Kenya, Hon. William Ruto and supported by key partners in the industry including the National Construction Authority.

Dividend Payment

In light of the results for the year ended 31st December 2014, I am delighted to announce that the Board has proposed a full and final dividend of Kshs 0.75 per share.

This, together with the interim payment of Kshs 0.75 made in the year will result to a full dividend payment of Kshs.1.50 per share.

We pay this dividend in recognition of the fact that our business has registered reasonable growth, being fully aware of the challenges ahead and the investment the business has to put in place to achieve even greater growth as we pursue our ambitious five-year strategy.

The Future

In 2015, Housing Finance will be celebrating its 50th anniversary. This is a great milestone for the company as we look back on our incredible heritage of innovation and our enduring relationship with shareholders, customers and partners.

Housing Finance will in 2015 also mark another major milestone. Shareholders have approved the re-organization of Housing Finance to create a holding company. Once we receive the necessary approvals and authorization required by law, the company will have the opportunity to invest capital needed to establish and grow its subsidiaries, which are involved in provision of complementary services, and to allow the company to offer integrated property solutions to its customers across the value chain.

The Shareholders will continue to own the same shares that they owned before the re-organization and these shares will remain listed on the Nairobi Stock Exchange. The company will continue to be subject to regulations of the Capital Markets Authority and the listing rules of the Nairobi Stock Exchange.

Acknowledgements

I would like to extend my sincere gratitude to all our customers who have retained great trust in us and in our services; our esteemed shareholders for their support over the years and to our loyal employees for your dedication to the vision of Housing Finance. To my fellow board members, your focused leadership and passion for the business is laudable. I wish you a prosperous 2015.



Steve Omenge Mainda, EBS
Board Chairman

Kwa wanahisa,

Kwa niaba ya halmashauri, ni furaha yangu kuwaletea matokeo ya kundi kwa kipindi cha mwaka uliomalizika Desemba 31, 2014.

Nitatoa muhtasari wa matukio muhimu ya mwaka, athari zake kwenye biashara pamoja na mafanikio makubwa wakati wa kipindi hiki cha mwaka wa utekelezaji shughuli.

Mtazamo

Wakati wa kipindi cha mwaka 2014, mazingira ya biashara yalichangiwa na kuimarika kwa kiwango cha ukuaji wa uchumi ambacho kilikuwa asilimia tano, viwango thabiti na bora vya riba na mfumuko thabiti wa bei za bidhaa.

Hata hivyo, mazingira ya biashara za uchumi ndogo ziliathirika kutokana na hatari za kiusalama katika kanda ambazo zilichangia kuathirika moja kwa moja kwa uwekezaji kutoka mataifa ya nje pamoja na mapato ya biashara ya utalii.

Shughuli imara katika sekta za ujenzi, viwanda vya utengenezaji bidhaa, fedha na bima, habari na mawasiliano, biashara za jumla na rejareja ziliimarisha kiwango cha jumla cha ukuaji wa taifa mwaka 2014.

Wakati wa kipindi cha mwaka, kundi la Housing Finance liliangazia ukuaji thabiti chini ya mkakati wake wa shughuli unaoendelea sasa.

Matokeo ya kifedha

Nina furaha kuwatangazia kuwepo kwa matokeo ya kuridhisha kwa kipindi cha mwaka wa biashara kilichomalizika Desemba 2014. Tuliweza kudumisha utoaji thamani kwa wanahisa wetu na zaidi kudhihirisha uthabiti wa muundo wa biashara yetu.

Kwa kipindi cha mwaka wa pili mfululizo, kampuni ilipata faida ya zaidi ya shilingi moja haya yakiwa ni matokeo ya kufana sana kwa kuzingatia mazingira magumu ya utekelezaji biashara. Ningependa kutoa baadhi ya vidokezo vya mafanikio yetu tuliopata hadi sasa kutokana na mkakati wetu, ukuaji na maono ya siku za usoni.

Vidokezo kuhusu mkakati

Mkakati wetu wa sasa unaendelea kuangazia ukuaji wa kasi wa kampuni. Mchango kutoka kwa kampuni tanzu kwenye biashara umekua kwa kiwango cha kuridhisha na mwendo huu unatarajiwa kuendelea.

Kipindi hiki cha mwaka kiliadhimisha mwaka wa tatu wa mkakati wa kampuni wa mwaka 2012- 2016 ambao kupitia kwake tumedumisha mwenendo wa faida. Mkakati wa uchumi wa benki unaendelea vyema na umechangia kuwepo kwa athari njema za faida za kundi. Zaidi ya hayo, tunaongeza vituo vya kuwahudumia wateja na tunatarajia kufungua matawi zaidi mwaka 2015 chini ya mkakati wetu wa ukuzaji biashara.

Utoaji bora wa huduma

Housing Finance imewekeza kwenye mfumo mpya wa benki ambao utasaidia utekelezaji wa shughuli, uzinduzi wa bidhaa na huduma zinazotolewa kwa wateja wetu. Nina furaha kutangaza kwamba, uzinduzi wa mfumo huu ungali unaendelea na unatarajiwa kuanza kutumika mwaka 2015.

Wajibu wa shirika kwa maslahi ya jamii

Housing Finance ina kitengo thabiti cha wajibu wa shirika kwa maslahi ya jamii ambacho kinaangazia uimarishaji wa uwezo kwa taasisi zinazotoa mafunzo ya kiufundi.

Mradi wa Housing Finance (HFF) ulianzishwa mwaka 2012 ukiwa na lengo la kuzalisha, kusimamia na kuchochea mafunzo husika ya kitaaluma yanayohitajika kwenye sekta ya ujenzi kwa kubuni wasanii milioni moja hii ikiwa ni mojawapo wa malengo ya ruwaza ya mwaka 2030.

Nguzo muhimu ya Housing Finance Foundation ni kutoa suluhu la moja kwa moja kuhusiana na changamoto zinazokabili sekta ya nyumba na ujenzi kwa kuwaandaa wasanii waliohitimu na kusaidia kukabiliana na janga la ukosefu wa ajira miongoni mwa vijana.

Mradi wa HF uliongoza mkakati wa kubuni viwango vya nyumba na ujenzi ambao sasa unatumika. Mkakati huu ulizinduliwa mwezi Machi 2014 wakati wa warsha ya maendeleo ya washika dau iliyofunguliwa rasmi na Naibu Rais wa Jamhuri ya Kenya Mhe. William Ruto na kuungwa mkono na washirika muhimu kwenye sekta hii mojawapo ikiwa Halmashauri ya kitaifa inayohusika na ujenzi.

Malipo ya mgawo wa faida

Kutokana na matokeo ya kipindi cha mwaka uliomalizika Desemba 31, 2014, nina furaha kutangaza kwamba Halmashauri imetoa pendekezo la malipo ya mwisho ya mgawo wa faida ya senti 0.75 kwa kila hisa.

Malipo haya pamoja na yale ya awali ya senti 0.75 yaliyotolewa wakati wa kipindi cha mwaka, yatapelekea jumla ya malipo ya mwisho ya mgawo wa faida kufikia shilingi 1.50 kwa kila hisa.

Tunatoa malipo haya ya mgawo wa faida tukizingatia kwamba biashara yetu imeandikisha ukuaji wa maana tukitambua kikamilifu changamoto zilizoko mbele yetu na uwekezaji ambao biashara inahitaji ili kupata ukuaji mkubwa tunapoendelea mbele na mkakati wetu wa miaka 5.

Siku za usoni

Mwaka huu wa 2015, Housing Finance itakuwa inasherehekea maadhimisho ya miaka 50. Huu ni ufanisi mkubwa wa kampuni huku tunapoangalia nyuma urithi wetu wa ajabu wa ubunifu na pia uhusiano wetu thabiti na washikadau, wateja na washirika.

Mnamo 2015, Housing Finance itakuwa pia inasherehekea mafanikio mengine makubwa. Wanahisa wamepitisha kufanyiwa mabadiliko kwa Housing Finance ili kubuni kampuni mlezi.

Mara tutakapopata idhini muhimu na mamlaka ya kisheria yanayohitajika, hatua hii itaipa kampuni nafasi ya mtaji unaohitajika kubuni na kukuza kampuni tanzu ili kutoa huduma za ziada na kuiwezesha kutoa suluhu la pamoja la rasimali kwa wateja wake wote.

Wanahisa wataendelea kumiliki hisa sawa na wanazomiliki kabla ya kufanyika kwa mabadiliko. Hisa hizi zitasalia kuwa katika soko la hisa la Nairobi. Kampuni itaendelea kutii masharti ya Halmashauri ya soko la hisa na kanuni za soko la hisa la Nairobi.

Shukrani

Ningependa kutoa shukrani kwa wateja wetu wote ambao wamedumisha imani yao kwetu na kwa huduma zetu, wanahisa wetu wapendwa kwa mchango wao miaka yote iliyopita na kwa wafanyakazi wetu waaminifu kutokana na kujitolea kwao kutimiza ndoto ya Housing Finance.

Kwa wanahalmashauri wenzangu, uongozi wenu wenye maono na juhudi zenu kwenye biashara zinatambulika. Nawatakia mwaka wenye ufanisi wa 2015.



Steve Omenge Mainda, EBS
Mwenyekiti wa Halmashauri.

CELEBRATING 50 Years OF GREAT HEADLINES

FINANCE FIRM GAVE £4,978,466 FOR HOUSING

THE HOUSING Finance Company of Kenya gave loans totalling 99,569,320/- last year according to the

tion is expected to be ready for occupation in July this year. When complete, the scheme will have 5,000 houses, a shopping centre, schools and social ser-

COMMONWEALTH DEVELOPMENT CORPORATION BURU BURU ESTATE HOUSES FOR SALE — Phase II

APPLICATIONS are invited from Kenya citizens wishing to houses shortly to be constructed during the second phase of deve- ment at Buru Buru Estate, Nairobi. Approximately 760 houses will be available between July 1975 and August 1976. Mortgage loans can be arranged through the Housing Finance Company of Kenya Limited.

Buru Buru Estate is a housing development undertaken by Commonwealth Development Corporation (CDC) in co-operation with Kenya Government and Nairobi City Council.

Two, three and four-bedroom double-storey terraces, arranged with vehicular access, similar to be in the range — £3,250 to £5,500.

The scheme is intended for those who own other residential property.

THE MUNICIPAL COUNCIL OF KAKAMEGA NOTICE MORTGAGE HOUSING SCHEME

HOUSING SUPPLEMENT PROJECTS TO HOUSE 8,600 FAMILIES



The 70's

In the 50 years Housing Finance has been in existence, we have developed major housing and infrastructure projects in Kenya. But by far the greatest achievement has been the great partnerships we have built with all stakeholders. We celebrate each partnership and look forward to building an even greater nation. Tusherekee pamoja!





Frank Ireri, EBS
Managing Director

Ladies and gentlemen, it is my honor to present to you Housing Finance's performance for the year 2014.

The ongoing implementation of our strategic initiatives has reflected positively on the balance sheet and diversified earnings resulting in a Profit before Tax of Kshs 1.41 billion.

The performance was achieved against a difficult trading environment characterized by security risks within the region, high costs of funds and implementation of new legislations including the Land Act 2012 and Central Bank of Kenya Prudential Guidelines on multiple mortgage facilities.

Financial Results

Some of the key highlights are as follows:

- Consolidated Group Loans and advances to customers increased by 44 percent, up from Kshs 31.25 billion in 2014 to Kshs 45.24 billion.
- Total assets increased by 28 percent to Kshs 60.96 billion from Kshs 47.39 billion.
- Customer deposits increased by 41 percent to Kshs 36.11 billion from Kshs 26.51 billion.
- Total Interest income increased by 17 percent to Kshs 6.37 billion from Kshs 5.44 billion in 2013.
- Non interest income dropped to Kshs 842.69 million from Kshs 1.36 billion.
- Profit before tax dropped marginally by 4 percent to Kshs 1.40 billion from Kshs 1.48 billion
- Profit after tax also dropped marginally by 2 percent to Kshs 975.34 million from Kshs 995.19 million
- Net Non-Performing Loans stood at Kshs 3.14 billion from Kshs 2.49 billion as a result of the New Land Act.

Strategic Review

We set out in 2014 with the implementation of the strategic imperatives which are expected to drive rapid growth in the medium to long term. This is the third year of our 2012 – 2016 strategy and we have achieved some milestones as highlighted below:

Focusing on Our Customers

In the 2012 – 2016 strategy, we have committed to walking with our customers along their investment journey by making them the center of everything we

do. The ongoing implementation of the Core Banking System is still on track and the go-live date expected in mid-2015.

During the year 2014, and in order to increase the array of products and services that are available to our clients, we introduced Asset Finance & Insurance Premium Finance as well as unsecured loan proposition. In addition, we also revamped & re-launched the Makao product by introducing 57 unique Makao prototypes. Makao is a tailor made product for people looking for a hassle-free building solution. The solution targets individuals, Kenyans in the diaspora, group members and entities such as companies and SACCOs who own land but are looking for a convenient building solution. All these tailor made solutions will increase HF's competitiveness in the market.

Growth Highlights

The firm achieved business growth through increased footprint and a wide range of solutions powered by appropriate channels.

We are increasing our retail foot print with branches already open at Sameer Business Park, Thika Road Mall, Westlands, and Naivasha. Kitengela Branch was opened early 2015 and an additional seven new branches are set to be rolled out later in 2015, in line with the business growth strategy.

The company's shareholders in 2014 approved the re-organization of Housing Finance to create a group structure by incorporating a holding company.

Subject to all necessary approvals and authorization required by law being duly obtained, the Company will transfer and assign the Mortgage Finance Business to the Wholly Owned Subsidiary. The re-organization will give the organization the impetus to register further growth and optimally deliver on its growth strategy.

Real Estate Investment & Development

Housing Finance through its subsidiary, Kenya Building Society Limited (KBS) plans to create a country wide footprint in delivery of quality and affordable real estate. The firm in 2013 completed the sale of Komarock Phase 5A project and embarked on the construction of its Komarock Phase 5B estate and Komarock commercial center, whose completion is projected for the end of 2015.

During the year, Housing Finance signed a Kshs 620 million credit facility with East African Development Bank (EADB) to finance the construction of Kahawa Downs Development Estate, a joint venture in Kiambu County.

Housing Finance also received a license to operate as a Real Estate Investment Trust (REIT) Trustee from the Capital Markets Authority. As a REIT Trustee, Housing Finance will be responsible for the safe custody of the assets of unit holders.

Funding Highlights

In 2014, Housing Finance received approval from the Capital Markets Authority to issue a Kshs 20.0 billion Medium Term Note.

In April 2014, Housing Finance received shareholders' approval to increase its authorised share capital from 236 million to 500 million during an Annual General Meeting held on April 25th 2014.

These initiatives are aimed at mobilizing stable and optimum priced funding to support the desired business growth.

Major Awards

In the year 2014, Housing Finance was recognized for its leadership and innovation and awarded in the following categories of the Think Business Banking Awards:

- Best Bank in Product Innovation (Makao) – 1st Runner-Up
- Best Bank in Mortgage Finance - 2nd Runner-Up
- Bank with the Lowest Charge - 2nd Runner-Up
- Best Bank in Product Marketing (Ezesh) - 2nd Runner-Up

Outlook

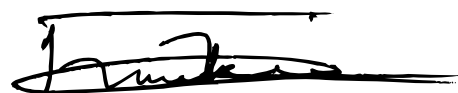
Following the recent success of Kenya's Eurobond issuance in the second quarter of 2014, a projected restraint in government domestic borrowing should create a conducive environment for improved economic growth.

Consumption is also likely to improve as a result of the stable exchange rate environment. Overall, Kenya's economy is estimated to sustain its growth in 2015.

Housing Finance is adequately resourced and has re-

aligned its structures to tap emerging opportunities, while also adopting appropriate risk management frameworks to mitigate likely exposures in our operations both within the local and global environment.

I congratulate you all for supporting the firm's growth in 2014.



Frank Ireri,
Managing Director

Mabibi na mabwana, ni furaha yangu kuwaletea matokeo ya Housing Finance kwa kipindi cha mwaka 2014.

Shughuli zinazoendelea sasa za mipango ya mikakati yetu zimedhihirisha matokeo mazuri kwenye mizania na kupanua mapato hivyo kupelekea faida kabla ya kutozwa ushuru kuwa shilingi bilioni 1.41.

Matokeo haya yalipatikana licha ya kuwepo kwa mazingira magumu ya utekelezaji biashara yaliyoandamana na hatari za kiusalama katika kanda, gharama za juu za hazina na uzinduzi wa matumizi ya masharti mapya ikiwemo sheria ya ardhi ya mwaka 2012 na miongozo ya busara kutoka benki kuu kuhusu aina mbali ya vifaa vya biashara ya rehani.

Matokeo ya kifedha

Baadhi ya vidokezo muhimu ni kama vifuatavyo:

- Mikopo ya makundi iliyojumuishwa kwa pamoja na malipo ya awali kwa wateja ziliongezeka kwa asilimia 44 kutoka shilingi bilioni 31.25 mwaka 2014 hadi shilingi bilioni 45.24
- Raslimali kwa jumla ziliongezeka kwa asilimia 28 na kufikia shilingi bilioni 60.96 kutoka shilingi bilioni 47.39
- Akiba ya wateja iliongezeka kwa asilimia 41 na kufikia shilingi bilioni 36.11 kutoka shilingi bilioni 26.51
- Riba kwa jumla iliongezeka kwa asilimia 17 na kufikia shilingi bilioni 6.37 kutoka shilingi bilioni 5.44 mwaka 2013.
- Riba isiyo zaa ilishuka hadi shilingi milioni 842.69 kutoka bilioni 1.36
- Faida kabla ya ushuru ilishuka kwa kiwango kidogo kwa asilimia 4 hadi shilingi bilioni 1.40 kutoka shilingi bilioni 1.48
- Faida baada ya ushuru pia ilishuka kwa kiwango kidogo kwa asilimia 2 hadi shilingi milioni 975.34 kutoka shilingi milioni 995.19
- Jumla ya mikopo isiyolipika ilikuwa shilingi bilioni 3.14 kutoka shilingi bilioni 2.49 kutokana na sheria mpya ya ardhi.

Matazamo wa mkakati

Mnamo 2014, tulizindua kwa haraka mikakati yetu ambayo inatarajiwa kuchochea ukuaji wa haraka wa muda wa kadri na mrefu. Huu ni mwaka wa tatu wa mkakati wetu wa mwaka 2012 hadi 2016 na tumepata matokeo makubwa kama ilivyoonyeshwa hapa chini;

Kuwaangazia wateja wetu

Kwenye mkakati wa mwaka 2012-2016, tumejitolea kuwaongoza wateja wetu kwenye mkondo wao wa uwekezaji na kuwafanya kuwa kiungo muhimu kwa yote tunayofanya. Uzinduzi unaoendelea sasa wa mfumo muhimu wa benki ungali kwenye mkondo na tarehe ya matumizi inatarajiwa kuwa kati kati mwa mwaka 2015. Kama juhudi zetu za kuongeza aina mbali mbali za bidhaa na huduma zinazopatikana kwa wateja wetu, wakati wa kipindi cha mwaka 2014, tulizindua bidhaa ya ufadhili wa raslimali na bima kwa jina Asset Finance & Insurance Premium Finance na pia Unsecured Loans. Zaidi ya hayo, tulifanyia mabadiliko na kuzindua upya bidhaa yetu ya Makao kwa kuleta sampuli 57 mpya na tofauti. Makao ni bidhaa ya aina ya kipekee ambayo inatoa suluhu kwa watu wanaotafuta makao bila usumbufu. Bidhaa hii inawalenga wakenya wanaoishi mataifa ya nje, wanachama wa makundi mbali mbali na mashirika kama vile makampuni na vyama vya ushirikia (SACCO) ambao wanamiliki ardhi lakini wanatafuta suluhu la ujenzi. Bidhaa hizi zote zilizobuniwa zitaongeza ushindani wa HF kwenye soko.

Vidokezo vya ukuaji

Kampuni ilipata ukuaji wa biashara kupitia ongezeko la matawi yake na uzinduzi wa aina mbali mbali za bidhaa zilizochochea na miundo inayofaa.

Tunaongeza matawi yetu ya kuwahudumia wateja wa kawaida na tayari tumefungua vituo vya huduma katika Sameer Business Park, Thika Road Mall, Westlands na Naivasha. Tawi la Kitengelea lilifunguliwa mapema mwaka huu na matawi mengine 7 mapya yanatarajiwa kufunguliwa baadaye mwaka 2015 chini ya mkakati wa ukuaji biashara.

Mnamo mwaka 2014, wanahisa wa kampuni waliidhinisha kufanyiwa mabadiliko Housing Finance ili kubuni mpango wa kampuni ambao ungejumuisha pamoja kampuni mlezi.

Baada ya kupata idhini kuhusu masharti yote ya kisheria yanayohitajika, kampuni itahamisha biashara ya ufadhili wa ujenzi wa nyumba (rehani) na kuwa kitengo kinachojisimamia kikamilifu.

Uwekezaji kwenye mitaa na maendeleo

Kupitia kampuni tanzu ya Kenya Building Society (KBS), Housing Finance inapanga kupanua uwepo wake kote nchini kwa utoaji wa makao ya mitaa ya hali ya juu kwa gharama nafuu. Mwaka 2013, kampuni ilikamilisha uuzaji wa mradi wa Komarock Phase 5A na kuzindua ujenzi wake wa Komarock Phase 5B na pia kituo cha kibiashara cha Komarock ambacho ujenzi wake unatarajiwa kukamilika mwisho wa mwaka 2015. Wakati wa kipindi hiki cha mwaka, Housing Finance ilitia sahihi mkakataba wa mkopo wa shilingi milioni 620 na benki ya African Development Bank (EADB) ili kufadhili ujenzi wa mtaa wa Kahawa Downs Development Estate ambao ni mradi wa pamoja ulioko kaunti ya Kiambu. Housing Finance pia ilipata leseni ya kuendesha biashara ya uwekezaji wa ujenzi wa majumba mengi (Real Estate Investment Trust – RETI) kutoka Halmashauri ya soko la Hisa (CMA). Kama wakala wa REIT Housing Finance itakuwa na jukumu la kusimamia salama rasimali za wamiliki.

Vidokezo vya ufadhili

Mwaka 2014, Housing Finance ilipata idhini kutoka Halmashauri ya soko la hisa (CMA) ya toleo la hisa la muda wa kadri la shilingi bilioni 20.0.

Mnamo mwezi Aprili 2014, wakati wa mkutano mkuu wa pamoja wa mwaka uliofanyika Aprili 25, Housing Finance ilipata idhini kutoka kwa wanahisa kuongeza mtaji wake uliodhinishwa kutoka shilingi milioni 236 hadi milioni 500.

Mikakati hii inanuiwa kuhamasisha ufadhili thabiti utakaosaidia ukuaji unaohitajika wa biashara.

Matuzo makubwa

Wakati wa kipindi cha mwaka 2014, Housing Finance ilitambuliwa kutokana na usimamizi na ubunifu wake na ilipokea matuzo yafuatayo kwenye kitengo cha Think Business Banking Awards:

- Benki bora Zaidi kwa ubunifu wa bidhaa (Makao)-nafasi ya pili
- Benki bora kwa ufadhili wa ujenzi wa makao – nafasi ya tatu
- Benki inayotoza ada ndogo – nafasi ya tatu
- Benki inayoongoza kwa uvumishaji wa bidhaa (Ezeshi) – nafasi ya tatu.

Mtazamo

Kufuatia kufaulu kwa toleo la taifa la Kenya la dhamana za serikali za Eurobond kipindi cha pili cha miezi minne mwaka 2014, mpango wa kuzuia serikali dhidi kukopa humu nchini unafaa kubuni mazingira bora ya kuimarika kwa ukuaji wa uchumi

Huenda matumizi yakaimarika kutokana na mazingira mazuri ya ubadilishanaji wa fedha. Kwa jumla, taifa la Kenya linatarajiwa kudumisha ukuaji wake mwaka 2015. Housing Finance imejiimarisha vyema na imebadili miundo yake ili kunasa nfasi zitakazojitokeza huku ikibuni mbinu zinazohitajika kukabiliana na hatari na kupunguza athari zinazoweza kuathiri shughuli zetu kwenye mazingira ya humu nchini na nje. Nawapongeza nyote kwa kuchangia ukuaji wa kampuni mwaka 2014.



Frank Ireri
Meneja Mkurugenzi.



Frank Ireri
Managing Director

Sam Waweru
Finance and
Administration

Kevin Isika
Credit

Joseph Ngare
Internal Audit

Ben Lanya
Human Resources



Regina Anyika
Company Secretary

Winnie Imanyara
Housing Finance
Foundation

Caroline Armstrong
Strategic Projects

Constantine Barasa
Risk Management

Timothy Gitonga
Business Operations

James Karanja
Kenya Building
Society



Housing Finance Managing Director speaks at the handing over ceremony for the Beyond Zero Mobile Clinic donated by Housing Finance.



Housing Finance Managing Director presents the key to the Mobile Clinic Donated by Housing Finance to the First Lady Her Excellency Mrs. Margaret Kenyatta.



Her Excellency Mrs. Margaret Kenyatta hands over the Beyond Zero Key to Mombasa Governor Hon. Hassan Joho.



Housing Finance makes a donation of Kshs.10 million to the First Lady's Beyond Zero Campaign.



Housing Finance Chairman Mr. Steve Mainda presents a cheque of Kshs. 5 Million to Her Excellency Mrs Rachael Ruto in support of the Joyful Women's Organisation.



Housing Finance Managing Director, Kahawa Downs Chairman and EADB Director General exchange contract documents at the HF/EADB Facility Signing event.



His Excellency Deputy President Hon. William Ruto addresses the participants at the Housing Finance Foundation CBET workshop.



Education Cabinet Secretary Prof. Kaimenyi makes his remarks at the Housing Finance Foundation CBET Workshop.



Dignitaries at the Housing Finance Foundation CBET workshop.



His Excellency Deputy President Hon. William Ruto inspects a workshop at KTTC during the Housing Finance Foundation CBET workshop accompanied by Education Cabinet Secretary, Jacob Kaimenyi.



Housing Finance HR manager Mr. Raymond Mwangi presents donations to GVRCE Executive Director Ms. Alberta Wambua, and Nairobi Women's Hospital CEO Dr. Sam Nthenya.



Housing Finance and Nairobi Women's Hospital staff during the Housing Finance visit to the Nairobi Women's Hospital GVRCE.



Housing Finance Foundation Senior Programmes Manager Caroline Sikasa addresses students of the Karen Technical Training Institute for the deaf during a mentorship session at the Institute.



Students of the Karen Technical Training Institute for the Deaf pose during a mentorship session by Housing Finance Foundation.



Students of the Karen Technical Training Institute for the Deaf are all smiles during a mentorship session by Housing Finance Foundation.



Housing Finance staff led by HR Manager Raymond Mwangi are given a tour of the National Spinal Injury Hospital by the Matron In Charge.



Housing Finance staff present donations to the National Spinal Injury Hospital Matron In Charge.



His Excellency Former Vice President Hon. Moody Awori addresses guests at the Chairman's Cocktail as Housing Finance Chairman Mr. Steve Mainda looks on.



Guests have a light moment at the Chairman's Cocktail.



Housing Finance Managing Director Mr. Frank Ireri with Nairobi Deputy Governor Hon. Jonathan Mueke at the Chairman's cocktail.



Sarakasi dancers entertain guests at the Makao Product Launch.



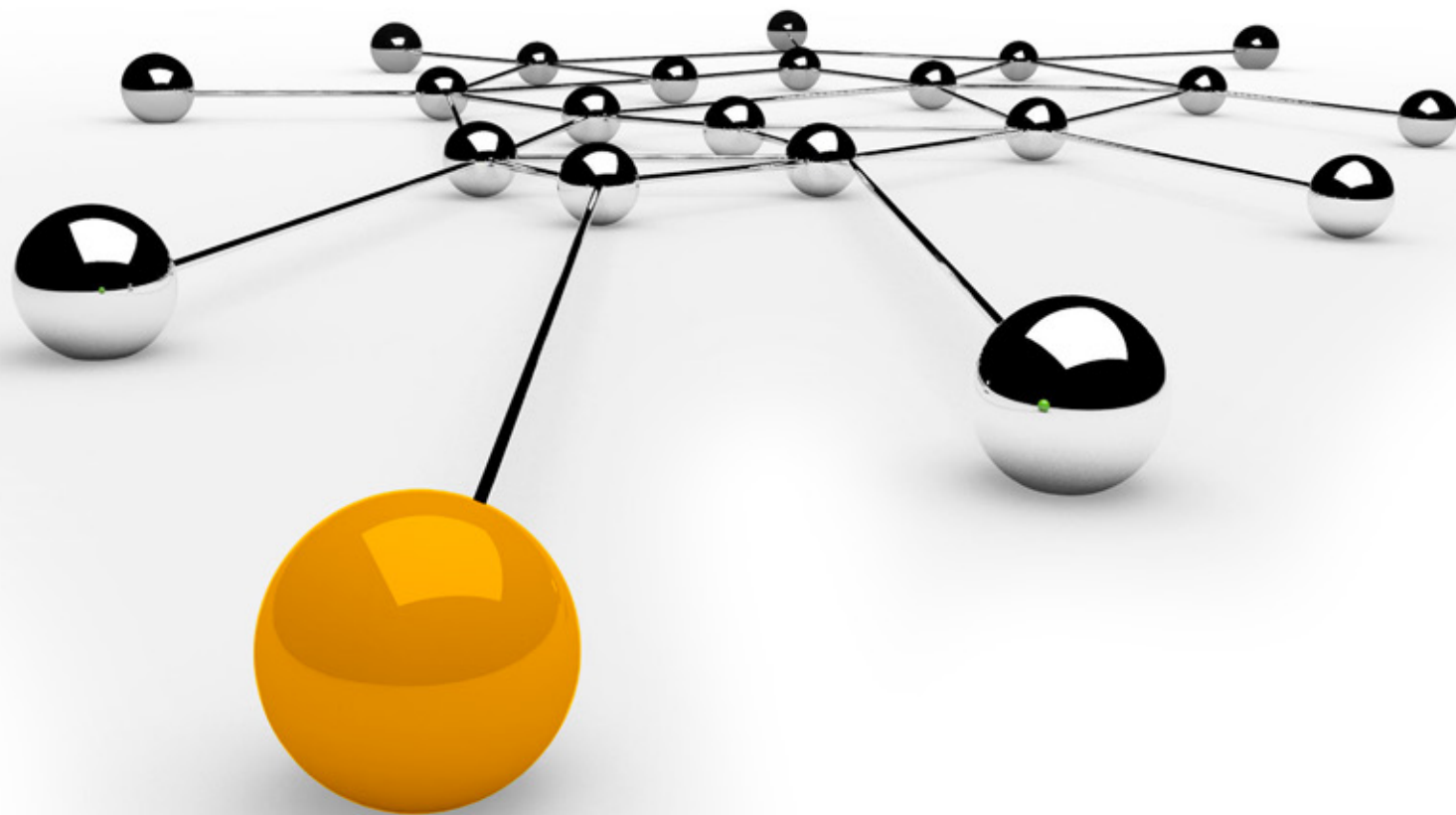
Makao Product launch Chief Guest Mr. Ibrahim Hussein, Director of Administration, Ministry of Lands unveils the product as Housing Finance Managing Director Mr. Frank Ireri looks on.



Housing Finance Director Business Operations presents Mr. Ibrahim Hussein with a gift as Housing Finance Managing Director looks on.



Professor Shem Migot-Adholla, Mr. Ibrahim Hussein, Mr. Frank Ireri and Mr. Timothy Gitonga view one of the Makao Product designs.



CELEBRATING 50 Years OF GREAT HEADLINES

Sh320m housing project for city

By NATION Reporter
A Sh320 million housing project is to be put up at Kayole in Nairobi.
A loan agreement for Sh150 million was signed yesterday between the Housing Finance Corporation (HFC) and the Housing Finance Corporation of Kenya (HFCOK).

HFCK ni mkao mkubwa na bora kwa mkopo wa nyumba

BURU BURU DEVELOPMENT INAUGURATION Thousands get decent homes in Nairobi's

By PATRICK NGUGI
Yesterday the Minister for Works, Housing and Physical Planning, Mr. A.K. Mwangi, was the chief guest at the ceremony which saw the unveiling of the plaque marking the completion of the Buru Buru Estate Development.

The Buru Buru housing project was commissioned about 11 years ago by the then Nairobi Municipal Council which is wholly owned by HFCK.

The estate has been developed by Commonwealth Development Corporation (CDC) in conjunction with Kenya Building Society Ltd which is wholly owned by HFCK.

A Nairobi area recently by the Government (represented by the Commissioner of Lands) and the Nairobi City Council and the prospects for housing development in the area between Kenya Breweries on Thika Road and the road to Embakasi Airport.

The first report indicated that the piece of land between Jogoo Road, Outer Ring Road, the Nairobi River and Embakasi Road would be suitable and a second



Miss Margaret Kenyatta unveils a plaque at the launching of the project in 1973.

The 80's

In the 50 years Housing Finance has been in existence, we have developed major housing and infrastructure projects in Kenya. But by far the greatest achievement has been the great partnerships we have built with all stakeholders. We celebrate each partnership and look forward to building an even greater nation. Tusherekee pamoja!



REPORT OF THE DIRECTORS

FOR THE YEAR ENDED 31 DECEMBER 2014

The Directors have pleasure in submitting their report together with the financial statements for the year ended 31 December 2014. The report discloses the state of affairs of the Group and the Company.

1. Principal activities

The company is licensed to transact banking business under the Banking Act (Cap.488) and seeks to encourage and promote the flow of both private and public savings into financing home ownership.

The subsidiaries' principal activities are development and selling of residential houses and insurance agency business.

2. Results and appropriations

	2014 KShs.'000	2013 KShs.'000
Gross income	<u>7,217,477</u>	<u>6,808,429</u>
Profit before taxation		
Housing Finance Company of Kenya Limited	1,266,552	1,213,429
Kenya Building Society Limited	89,532	228,077
First Permanent (East Africa) Limited	294	-
Housing Finance Insurance Agency Limited	44,275	38,850
Group profit before taxation	1,400,653	1,480,356
Taxation	<u>(425,317)</u>	<u>(485,160)</u>
Profit after taxation	975,336	995,196
Retained profit and available for sale reserves brought forward	<u>2,117,112</u>	<u>1,465,725</u>
	3,092,448	2,460,921
Dividends – Interim paid/proposed	(347,153)	(404,301)
Change in fair value of available for sale investments net of taxes	(65,760)	57,018
Transfer from statutory reserve	<u>174,350</u>	<u>3,474</u>
Retained profit and available for sale reserves carried forward	<u>2,853,885</u>	<u>2,117,112</u>

REPORT OF THE DIRECTORS

FOR THE YEAR ENDED 31 DECEMBER 2014

3. Dividend

The Directors recommend a final dividend payment of KShs. 173,685,000 (2013 – KShs. 231,070,000). An interim dividend amounting to KShs. 173,468,000 (2013 – KShs. 173,231,000) was paid during the year. The total dividend for the year is therefore KShs. 1.50 per share (2013 – KShs. 1.75), amounting to a total of KShs. 347,153,000 (2013 – KShs. 404,301,000).

4. Directors

The Directors who served during the year are set out on page 2.

5. Auditors

The auditors, KPMG Kenya, continue in office in accordance with Section 159(2) of the Kenyan Companies Act (Cap.486) and subject to Section 24(1) of the Banking Act (Cap.488).

6. Approval of financial statements

The financial statements set out on pages 39 to 104 were approved at a meeting of the Directors held on 26th March 2015

BY ORDER OF THE BOARD

Date: 26th March 2015

Company Secretary:



RIPOTI YA WAKURUGENZI

KWA KIPINDI CHA MWAKA ULIOMALIZIKA DESEMBA 31, 2014

Wakurugenzi wanafuraha kutoa ripoti yao pamoja na taarifa ya hesabu za pesa kwa kipindi cha mwaka uliomalizika Desemba 31, 2014. Ripoti inafichua hali ya kundi na kampuni.

1. Shughuli Muhimu

Kampuni imepewa leseni kuendesha shughuli za utoaji wa huduma za benki chini ya sheria za benki (kifungu nambari 488) na imejitolea kushinikiza na kusaidia uwekaji akiba kwa watu binafsi na umma ili kugharamia ujenzi wa makao yao.

Shughuli nyinginezo ndogo ni pamoja na ustawishaji na uuzaji wa nyumba za kuishi na pia kutoa huduma za uwakala wa biashara ya bima.

2. Matokeo na Makadirio

	2014 KShs.'000	2013 KShs.'000
Mapato Kwa jumla	<u>7,217, 477</u>	<u>6, 808, 429</u>
Faida kabla ya ushuru		
Housing Finance Company of Kenya Limited	1, 266, 552	1, 213, 429
Kenya Building Society Limited	89, 532	228, 077
First Permanent (East Africa) Limited	294	-
Housing Finance Insurance Agency Limited	44, 275	38, 850
Faida ya kundi kabla ya ushuru	1, 400, 653	1, 480, 356
Ushuru	<u>(425, 317)</u>	<u>(485, 160)</u>
Faida baada ya ushuru	975, 336	995, 196
Faida iliyohifadhiwa na		
Iliyotayari kuuzwa. hazina iliyowasilishwa	<u>2,117, 112</u>	<u>1, 465, 725</u>
	<u>3, 092, 448</u>	<u>2, 460, 921</u>
Mgawo- uliotolewa awali/ uliopendekezwa	(347,153)	(404,301)
Mabadiliko ya thamani kwa raslimali zilizoko kwa		
Madhumuni ya kuuzwa na ushuru kwa jumla	(65, 760)	57, 018
Kuhamishwa kutoka hazina ya kisheria	<u>174, 350</u>	<u>3, 474</u>
Faida iliyohifadhiwa na iliyoko kwa madhumuni ya		
mauzo yaliyowasilishwa mbele	<u>2, 853, 885</u>	<u>2, 117, 112</u>

RIPOTI YA WAKURUGENZI

KWA KIPINDI CHA MWAKA ULIOMALIZIKA DESEMBA 31, 2014

3. Mgawo wa Faida

Wakurugenzi wanatoa pendekezo la malipo ya mgawo wa faida wa KShs. 173, 685, 000 (2013 ilikuwa KShs. 231, 070, 000). Malipo ya awali ya mgawo wa faida ya KShs. 173, 468,000 (2013 yalikuwa KShs. 173, 231,000) yalitolewa wakati wa kipindi hiki cha mwaka. Kwa hivyo, jumla ya mgawo wa faida kwa kipindi cha mwaka ni KShs. 1.50 kwa hisa (2013 yalikuwa KShs. 1.75) na kuwa jumla ya KShs. 347, 153,000 (2013 ilikuwa KShs. 404,301,000).

4. Wakurugenzi

Wakurugenzi waliohudumu wakati wa kipindi hiki cha mwaka wamefafanuliwa kupitia ukurasa wa 2.

5. Wakaguzi

Wakaguzi wa Pesa KPMG wataendelea na jukumu lao kwa mujibu wa sehemu ya 159 (2) ya sheria za makampuni nchini Kenya (kifungu nambari 486) na kwa kutegemea sehemu ya 24 (1) ya sheria za mabenki (kifungu nambari 488).

6. Kuidhinishwa kwa taarifa za matumizi ya pesa

Taarifa za matumizi ya pesa zilizofafanuliwa kupitia ukurasa wa 39 hadi 104 ziliidhinishwa wakati wa mkutano wa wakurugenzi uliofanyika Machi 26, 2015.

KWA AMRI YA HALMASHAURI

Tarehe: Machi 26, 2015

Katibu wa Kampuni:



The Board of Housing Finance Company of Kenya Ltd is responsible for the overall management of the Group and is committed to ensuring that its business and operations are conducted with integrity and in compliance with the law, internationally accepted principles and best practices in corporate governance.

In recent years various recommendations have been made in several legal and professional publications in an attempt to determine the most appropriate way for companies to be structured to achieve the highest standards of corporate governance. The Board is committed to full compliance of all the relevant laws including The Guidelines on Corporate Governance (CBK/PG/02) issued by the Central Bank of Kenya in January 2013 under Section 33(4) of the Banking Act and The Guidelines on Corporate Governance Practises by Public Listed Companies in Kenya issued by the Capital Markets Authority in May 2002 under Cap. 485A of the Capital Markets Authority Act.

1. The Board of Directors

The Board is responsible for drawing and implementing strategies for the long-term success of the company as well as carrying out the fiduciary duty of monitoring and overseeing the activities of management. To this end, the Board meets regularly and has a formal schedule of matters reserved for its decision. These matters include determining and reviewing the strategy of the Company and the Group and overseeing the Group's compliance with statutory and regulatory obligations.

Notices and agenda for all Board meetings are circulated to all Directors on a timely basis together with the respective documents for discussion.

Composition of the Board

The Board is composed of eight Non-Executive Directors including an independent Chairman and one Executive Director. Mr. Frank Ileri is the Managing Director. At least a third of the Directors are independent and Non-Executive. The Directors have a wide range of skills and experience and each contributes independent judgement and knowledge to the Board's discussions.

On appointment, each Director is provided with a comprehensive and tailored induction process covering the Group's business and operations and provided with information relating to their legal and regulatory obligations.

All Non-Executive Directors are required to submit themselves for re-election in accordance with the Company's Articles of Association.

2. Board and Management Committees

The Board has constituted 5 sub-committees chaired by Non-Executive Directors, namely Audit, Risk Management, Nomination and Remuneration, Credit and Strategy.

Audit Committee

This is composed of three Non-Executive Directors:

- David Ansell (Chairman)
- Shem Migot-Adholla
- Benson Wairegi

Audit Committee (Continued)

All the members of this committee are Non-Executive Directors. The Board considers that each member has appropriate professional qualifications and brings broad experience and knowledge of financial reporting to the Committee's deliberations.

The Committee reviews and monitors the integrity of the Group's annual and interim financial statements, circulars to shareholders and any formal announcements relating to the Group's financial performance, including significant financial reporting judgements contained within them. The Committee also reviews the appropriateness of the Group's accounting policies, recommendations for provisions against bad or doubtful loans and other credit exposures. Ultimate responsibility for the approval of the annual and interim financial statements rests with the Board.

At least once a year, the Audit Committee meets separately with the external auditor and the Head of Internal Audit without management being present to discuss any issues arising from the audit.

In relation to the Internal Audit function, the Committee's responsibilities include:

- Monitoring and assessing the role and effectiveness of the Internal Audit function and receiving reports on these matters; and
- Considering the appointment, resignation or dismissal of the Head of Internal Audit.

In relation to the Group's external auditor, the Committee's responsibilities include:

- Considering and making recommendations to the Board on the appointment, re-appointment, resignation or dismissal of the external auditor;
- Approving the terms of engagement, nature and scope of the audit; and
- Reviewing the findings of the audit including any major issues that arose during the course of the audit.

Risk Management Committee

This committee is composed of three Non-Executive Directors and the Managing Director:

- Shem Migot-Adholla (Chairman)
- Adan D. Mohammed
- Constance Gakonyo
- Frank Ileri

The Risk Management committee's primary responsibility is to ensure the quality, integrity and reliability of the Group's risk management framework. The Committee reviews and assesses the integrity of the risk control systems and ensures that the risk policies and strategies are effectively managed.

The basic principles of risk management that are followed and enforced through the Risk Management committee include:

- The Board assumes the ultimate responsibility for the level of risks taken by the Group and is responsible to oversee the effective implementation of the risk strategies;
- The organisational risk structure and the functions, tasks and powers of the employees, committees and departments involved in the risk processes are continuously being reviewed to ensure clarity of their roles and responsibilities;

Risk Management Committee (Continued)

- Risk issues are taken into consideration in all business decisions;
- Identified risks are reported in a transparent and timely manner and in full to the responsible senior management; and
- Appropriate, effective controls exist for all processes entailing risks.

Nomination and Remuneration Committee

The members of the Nomination and Remuneration committee are:

- Peter Munga (Chairman)
- Benson Wairegi
- Constance Gakonyo
- Gladys Ogallo
- Frank Ireri

All the committee members are Non-Executive Directors with the exception of the Managing Director.

The Committee's responsibilities include:

- Reviewing the structure, size and composition of the Board to ensure the optimum balance of skills, knowledge and experience taking into account the opportunities and challenges which face the Group;
- Identifying and nominating for the approval of the Board a suitable candidate for any Board vacancy which may arise;
- Monitoring the development of succession plans for the Group relating to senior executive management;
- Reviewing the emoluments of both executive and non executive Directors, and senior management.

This Committee carries out a peer and self-evaluation of the Board and its committees to assess their contribution and also to ensure that there is the requisite mix of skills and experience available to effectively discharge their duties.

Credit Committee

This is a Board Committee comprising of three Non-Executive Directors:

- David Ansell (Chairman)
- Steve O. Mainda
- Adan D. Mohammed

The primary responsibilities of the Board Credit Committee are:

- Review and oversee the overall Credit policy and ensure that the risk lending limits are reviewed annually as and when the environment so dictates;
- Deliberate and consider loan applications beyond the limits of Management Lending Committee;
- Direct, monitor, review and consider all issues that may materially impact on the present and future quality of the Company's credit risk management;
- Ensure that the credit policy sets out acceptable levels of exposure to the various economic sectors, currencies and maturities as well as target markets, diversification and concentration of the credit portfolio.

Board Strategy Committee

This committee is composed of five Non-Executive Directors and the Managing Director.

- Benson Wairegi (Chairman)
- Steve Mainda
- Peter K. Munga
- Adan D. Mohammed
- Gladys Ogallo
- Frank Ireri

The principal roles of the committee are to:

- Oversee the implementation of the Group's strategy;
- Approve and participate in the annual strategy review process;
- Approve all key strategic initiatives including but not limited to; appointment of consultants, capital & revenue expenditure and investments.

Attendance of Individual Directors

The following table shows the number of Board meetings held during the year and the attendance of individual Directors:

Board meetings attendance for the year ended 31 December 2014	Board meetings				Total attendance
	18/2	22/4	15/7	24/10	
Date					
Steve Mainda	✓	✓	✓	✓	4
David R. Ansell	✓	✓	✓	✓	4
Benson Wairegi	✓	✓	✓	✓	4
Peter Munga	✓	✓	✓	✓	4
Shem Migot - Adholla	✓	✓	✓	✓	4
Adan D Mohamed	✓	✓	✓	✓	4
Frank Ireri	✓	✓	✓	✓	4
Gladys Ogallo *	✓	✓	✓	✓	4
Constance Gakonyo **	N/A	N/A	✓	✗	1

*Appointed on 8th January 2014

** Appointed on 17th April 2014

- ✓ Attended
- ✗ Absent with apology
- N/A Not applicable

A number of Management committees have been established by the Board to oversee operations in some critical areas. These are Executive committee (EXCO), Asset and Liability committee (ALCO), Risk Management committee, Lending committee, Arrears Management committee, Information Technology Steering committee and Management Strategy committee (STRATCOM). The Board appoints other committees as and when necessary.

3. Board effectiveness evaluation

To assess the performance of the Board, its committees and individual Directors, the Board conducts a rigorous performance evaluation each year. The process is led by the Chairman and supported by the Company Secretary.

In February 2015, the Directors completed the annual evaluation that covered a self-evaluation, evaluation of the Chairman and the overall Board. The conclusion of the evaluation was that the Board operated effectively. The results of the evaluation were submitted to the Central Bank of Kenya.

The Nomination & Remuneration Committee approved an evaluation process for Non-Executive Directors, which entails conducting one to one meetings with the Non-Executive Directors to discuss their performance and contribution.

4. Internal audit function

The Group has a fully operational internal audit function that is led by a senior member of staff who is a member of the Institute of Certified Public Accountants of Kenya. Internal Audit monitors compliance with policies and standards and the effectiveness of internal control structures across the Group through its audit programmes.

5. Communication with shareholders

The company is committed to:

- Ensuring that shareholders and the financial markets are provided with full and timely information about its performance; and
- Compliance with regulations and obligations applicable to the Securities Exchange and the Capital Markets Authority.

Information is disseminated to the shareholders through an annual report and press notices following the release of quarterly, half yearly and annual results. Press releases on significant developments are also reported.

6. Directors benefits and loans

All the Non-Executive Directors have continued to receive Directors' fees. The aggregate amount of Directors' fees is disclosed in Note 10 to the financial statements.

7. Major shareholders as at 31 December 2014

	Name	No. of shares	% age shareholding
1	British American Insurance Company (Kenya) Ltd	77,686,245	33.55
2	Equity Nominees Limited A/C 00104	28,602,000	12.35
3	National Social Security Fund	15,716,448	6.79
4	SCB A/C Pan African Unit Linked FD	9,098,700	3.93
5	Permanent Secretary Treasury	8,422,850	3.64
6	Jubilee Insurance Company of Kenya Limited	2,514,772	1.09
7	Bai Co (MTIUS) Limited	2,183,900	0.94
8	CfC Stanbic Nominees Ltd A/C NR1030833	1,984,050	0.86
9	CfC Stanbic Nominees Ltd A/C NR1030852	1,761,650	0.76
10	Kibuwa Enterprises Ltd	<u>1,716,858</u>	<u>0.74</u>
	TOTAL	<u>149,687,473</u>	<u>64.65</u>

8. Distribution of shareholders as at 31 December 2014

Number of shares	No. of shareholders	No. of shares held	% age Shareholding
1-500	9,535	2,548,125	1.1003
501-1,000	4,249	3,660,784	1.5808
1,001-10,000	11,596	31,898,655	13.7744
10,001-50,000	798	15,970,368	6.8963
50,001-100,000	146	19,338,795	8.3508
100,001-1,000,000	8	5,738,800	2.4781
Over 1,000,000	<u>13</u>	<u>152,424,473</u>	<u>65.8194</u>
TOTAL	<u>26,345</u>	<u>231,580,000</u>	<u>100%</u>

The Directors are responsible for the preparation and presentation of the financial statements of Housing Finance Company of Kenya Limited set out on pages 39 to 104 which comprise the statements of financial position of the Group and the Company as at 31 December 2014, and the Group's statement of profit or loss and other comprehensive income, Group's and Company statement of changes in equity and Group's statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

The Directors' responsibilities include: determining that the basis of accounting described in Note 2 is an acceptable basis for preparing and presenting the financial statements in the circumstances, preparation and presentation of financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act and for such internal control as the Directors determine is necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

Under the Kenyan Companies Act, the Directors are required to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the Group and the Company as at the end of the financial year and of the operating results of the Group for that year. It also requires the Directors to ensure the Group keeps proper accounting records which disclose with reasonable accuracy the financial position of the Group and the Company.

The Directors accept responsibility for the financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act. The Directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the Group and the Company and of the Group operating results.

The Directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

The Directors have made an assessment of the Group and the Company's ability to continue as a going concern and have no reason to believe the Group and the Company will not be a going concern for at least the next twelve months from the date of this statement.

Approval of the financial statements

The financial statements, as indicated above, were approved by the Board of Directors on 26th March 2015 and were signed on its behalf by:

Chairman: 

Director: 

Director: 

Company Secretary: 

Wakurugenzi wana wajibu wa kuandaa na kutoa taarifa ya matumizi ya pesa ya Housing Finance Company of Kenya Limited kama ilivyofafanuliwa kutoka ukurasa wa 39 hadi 104 ambayo inajumuisha hali ya kifedha ya kundi na kampuni kufikia Desemba 31, 2014 na taarifa ya kina ya kundi kuhusu mapato, mabadiliko kuhusu umiliki wa hisa na mtiririko wa fedha kwa kipindi cha mwaka uliomalizika na pia muhtasari wa vipengele muhimu vya sera za uhasibu miongoni mwa vidokezo vingine.

Wajibu wa wakurugenzi unahusu: kuhakikisha kwamba mbinu iliyotumika ya uhasibu kama ilivyofafanuliwa kupitia dokezo la 2 ni ile iliyokubalika kuandaa na kutoa taarifa ya matumizi ya pesa kwa hali ilivyo; kuandaa, kupitisha na kuendeleza ukaguzi wa ndani ulio muhimu kwa maandalizi na utoaji wa taarifa hii ya matumizi ya pesa ambayo haina udanganyifu wowote, hila au makosa, kutenga na kutumia sera mwafaka za ukaguzi wa pesa na kuweka makadirio ya maana ya uhasibu

Chini ya sheria za makampuni nchini Kenya, wakurugenzi wanahitajika kuandaa taarifa ya matumizi ya pesa kwa kila kipindi cha matumizi ya pesa ambayo itatoa taswira (picha) halisi ya mwelekeo wa kundi na kampuni kufikia mwisho wa kipindi hicho na pia matokeo ya shughuli. Pia, inawahitaji wakurugenzi kuhakikisha kwamba kundi linahifadhi vyema rekodi za hesabu ambayo itafichua makadirio ya maana ya hali ya pesa ya kampuni na kundi.

Wakurugenzi hukubali kuchukua jukumu kuhusu taarifa ya ukaguzi wa pesa ambayo imetayarishwa kwa kufuata kanuni za ukaguzi wa pesa zinazohitajika na zinazoungwa mkono na uhakiki wa maana na makadirio yanayofaa kwa kufungamana na viwango vya kimataifa na kwa njia inayolingana na sheria za makampuni nchini Kenya. Wakurugenzi wanakubaliana kwa kauli moja kwamba, taarifa ya ukaguzi wa pesa inaonyesha hali halisi kuhusiana na maswala ya kifedha na matokeo ya shughuli za kundi na kampuni.

Zaidi ya hayo, wakurugenzi wanakubali kuchukua jukumu la kudumisha rekodi za ukaguzi wa pesa zinazoweza kutegemewa wakati wa kuandaa taarifa ya hesabu pamoja na taratibu za kudhibiti ukaguzi wa ndani wa kila siku wa fedha.

Wakurugenzi wamefanya uchunguzi wa kundi na uwezo wa kampuni kuendelea na shughuli zake na hawana tashwishi kuamini kwamba, kundi na kampuni hazitasitisha shughuli zao kwa kipindi cha miezi kumi na mbili ijayo kuanzia siku ya kutolewa kwa taarifa hii.

Kuidhinishwa Kwa Taarifa ya Matumizi ya Pesa

Taarifa ya matumizi ya pesa kama ilivyoonyeshwa hapo juu iliidhinishwa na halmashauri ya Wakurugenzi mnamo Machi 26, 2015 na kutiwa sahihi kwa niaba yake na:

Mwenyekiti: 

Mkurugenzi: 

Mkurugenzi: 

Katibu wa kampuni: 

REPORT OF THE INDEPENDENT AUDITORS
TO THE MEMBERS OF HOUSING FINANCE COMPANY OF KENYA LIMITED

We have audited the Group financial statements of Housing Finance Company of Kenya Limited set out on pages 39 to 104 which comprise the statement of financial positions of the Group and the Company at 31 December 2014, and the Group's statement of profit or loss and other comprehensive income, Group and Company statement of changes in equity and Group statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Directors' responsibility for the financial statements

As stated on page 34, the company's Directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards, and in the manner required by the Companies Act of Kenya, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with relevant ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Opinion

In our opinion, the financial statements give a true and fair view of the consolidated and company financial position of Housing Finance Company of Kenya Limited at 31 December 2014, and the consolidated financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the Kenyan Companies Act.

Report on other legal requirements

As required by the Kenyan Companies Act we report to you, based on our audit, that:

- (i) We have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purpose of our audit;
- (ii) In our opinion, proper books of account have been kept by the Company, so far as appears from our examination of those books; and

REPORT OF THE INDEPENDENT AUDITORS
TO THE MEMBERS OF HOUSING FINANCE COMPANY OF KENYA LIMITED (Continued)

- (iii) The statement of financial position of the Company is in agreement with the books of account.

The Engagement Partner responsible for the audit resulting in this independent auditors' report is CPA Jacob Gathecha - P/1610.



Date: 26th March 2015

RIPOTI YA WAHASIBU WA KUJITEGEMEA
KWA WANACHAMA WA HOUSING FINANCE COMPANY OF KENYA LIMITED

Tumeandaa taarifa kuhusu matumizi ya pesa ya Housing Finance Company of Kenya kama ilivyoonyeshwa kupitia kurasa 39 hadi 71 ambayo inajumuisha hali ya kifedha ya kundi na kampuni kufikia Desemba 31, 2014 pamoja na taarifa ya kina kuhusu mapato ya kundi, taarifa kuhusu mabadiliko ya umiliki wa hisa na taarifa kuhusu mtiririko wa pesa kwa kipindi cha mwaka uliomalizika na pia muhtasari wa sera maalumu za uhasibu na vidokezo vingine.

Wajibu wa Wakurugenzi Kuhusiana na Taarifa ya Matumizi ya Pesa

Kama ilivyoielezwa kupitia ukurasa wa 35, wakurugenzi wana jukumu la kuandaa na kutoa taarifa iliyo sawa ya matumizi haya ya pesa kwa mujibu wa viwango vya kimataifa. Wajibu huu unahusu, kuandaa, kubuni, kuanzisha na kudumisha maingizo ya fedha ambayo yatumika kuandaa taarifa ya fedha isiyo danganyifu iwe ni kwa hila au makosa; kutenga na kutumia sera za uhasibu na kutoa makadirio ya pesa ya maana kulingana na hali ilivyo.

Wajibu wa Wakaguzi wa Hesabu

Wajibu wetu ni kutoa maoni yetu kuhusu taarifa hii ya matumizi ya pesa kwa mujibu wa ukaguzi wetu. Tulifanya ukaguzi wetu kwa mujibu wa viwango vya kimataifa. Viwango hivyo vinatuhitaji kuzingatia maadili muhimu, kupanga na kutekeleza ukaguzi wa pesa ili kupata uhakika wa maana kuwa taarifa ya ukaguzi haina udanganyifu wowote.

Ukaguzi wa pesa unahusu uzingatiaji wa hatua ili kupata ushahidi wa idadi na fichuzi katika taarifa ya matumizi ya pesa. Hatua zilizoteuliwa zinategemea uamuzi wetu ikiwemo kukadiria hatari ya udanganyifu katika taarifa iwe ni kutokana na hila au makosa. Wakati wa ukadiriaji huo, tunazingatia uthibiti wa ndani unaohusiana na maandalizi ya taarifa iliyo sawa ya matumizi ya pesa ili kubuni taratibu za ukaguzi zinazohitajika lakini si kwa kutoa maoni kuhusiana na sera za uhasibu zilizotumika na makadirio ya maana ya uhasibu yaliyoandaliwa na wasimamizi pamoja na kukadiria kwa jumla mtazamo kamili wa taarifa ya pesa.

Tunaamini kwamba ushahidi kuhusu ukaguzi wa pesa tuliopata unatosha na unafaa kutupatia msingi wa maoni yetu.

Maoni

Kwa maoni yetu, taarifa za matumizi ya pesa zinatoa mtazamo wa kweli na halisi kuhusu hali ya kifedha ya kundi na kampuni kufikia Desemba 31, 2014 na pia matokeo ya kifedha ya kundi na mtiririko wa pesa kwa kipindi cha mwaka uliomalizika kuambatana na viwango vya kimataifa na sheria za makampuni nchini Kenya.

Ripoti Kuhusu Mahitaji Mengine ya kisheria

Kama inavyohitajika kupitia sheria za makampuni nchini Kenya tunaripoti kwenu na kwa kutegemea ukaguzi wetu wa fedha kwamba;

Tumepata maelezo na vidokezo vinavyohitajika ambavyo kwa ufahamu wetu na imani vilikuwa muhimu kwa madhumuni ya ukaguzi wetu;

- (i) Kwa maoni yetu hifadhi njema ya rekodi ya vitabu vya hesabu imewekwa na kampuni kama inavyoonekana kupitia uchunguzi wetu wa vitabu hivyo na;
- (ii) Taarifa ya kifedha kuhusu hali ya kampuni inawiana na vitabu vya kuhifadhi hesabu.

Mshiriki aliyehusika na ukaguzi uliophelekea kuwepo kwa ripoti hii ya wakaguzi wa kujitegemea ni CPA Jacob Maina Gathecha- P/1610.



Tarehe: 26th March 2015

CONSOLIDATED STATEMENT OF PROFIT OR LOSS
AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2014

	Note	2014 KShs.'000	2013 KShs.'000
Interest income	7	6,374,782	5,440,059
Interest expense	7	(3,340,803)	(2,886,682)
Net interest income		3,033,979	2,553,377
Impairment losses on mortgage advances	18(c)	(551,219)	(280,893)
Net interest income after impairment Losses on mortgage advances		2,482,760	2,272,484
Non-interest income	8	842,695	1,368,370
Non-interest expenses	9	(1,906,551)	(2,160,498)
Share of loss in Joint Ventures		(18,251)	-
Profit before taxation	10	1,400,653	1,480,356
Income tax expense	11	(425,317)	(485,160)
Net profit after tax for the year		975,336	995,196
Other comprehensive income			
<i>Items that are or may be reclassified to profit or loss</i>			
Revaluation of land and buildings		226,161	-
Change in fair value of available-for-sale investments	33(e)	(85,151)	57,018
Related tax		(17,533)	-
		123,477	57,018
Total comprehensive income for the year		1,098,813	1,052,214
Annualised basic and diluted earnings per share – KShs.		4.21	4.30
Dividends per share – KShs.		1.50	1.75
Total number of shares		231,580	231,070

The notes set out on pages 47 to 104 form an integral part of these financial statements.

CONSOLIDATED STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2014

	Note	2014 KShs.'000	2013 KShs.'000
ASSETS			
Cash and balances with banks	15	4,028,234	1,719,004
Placements with other banks	16	7,597,238	6,878,601
Investment in government securities	17	264,332	288,167
Loans and advances to customers (Net)	18(a)	45,243,539	35,215,897
Investment in joint venture	19	172,549	190,800
Other assets	20	1,031,322	1,126,173
Equity investments	21	-	151,500
Housing development projects	22	314,347	117,822
Property and equipment	23(a)	1,282,252	945,515
Prepaid operating lease rentals	24	46,038	46,685
Intangible assets	25	521,114	395,935
Tax recoverable	11(b)	14,260	-
Deferred tax asset	26(a)	446,455	313,278
TOTAL ASSETS		60,961,680	47,389,377
LIABILITIES			
Customers' deposits	28	36,105,929	26,507,204
Other liabilities	29	1,107,450	539,835
Tax payable	11(b)	-	71,471
Dividends – payable		46,307	47,710
Loans from banks	30	6,783,610	3,803,905
Borrowed funds	31	147,000	347,276
Corporate bond	32	10,212,502	10,212,469
		54,402,798	41,529,870
SHAREHOLDERS' EQUITY			
Share capital	33	1,157,900	1,155,350
Reserves (Pages 43 to 44)	33	5,350,232	4,653,407
Shareholders' income notes and loans	34	50,750	50,750
		6,558,882	5,859,507
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY		60,961,680	47,389,377

The financial statements set on pages 39 to 104 were approved by the Board of Directors on and were signed on its behalf by:

Chairman: 

Director: 

Director: 

Company Secretary: 

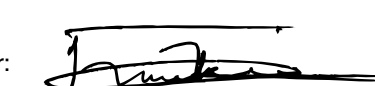
The notes set out on pages 47 to 104 form an integral part of these financial statements.

COMPANY STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2014

	Note	2014 KShs.'000	2013 KShs.'000
ASSETS			
Cash and balances with Central Bank of Kenya	15	4,028,221	1,718,991
Placement with other banks	16	7,597,238	6,878,601
Investment in government securities	17	264,332	288,167
Loans and advances to customers (Net)	18(a)	45,243,539	35,215,897
Investment in subsidiaries	19	255,120	255,120
Other assets	20	637,033	367,214
Equity investments	21	-	151,500
Investment in joint venture	19	172,549	190,800
Property and equipment	23(b)	1,282,081	939,444
Prepaid operating lease rentals	24	39,860	40,326
Intangible assets	25	521,114	395,935
Tax recoverable	11(b)	4,315	-
Deferred tax asset	26(b)	445,431	313,116
TOTAL ASSETS		60,490,833	46,755,111
LIABILITIES			
Customers' deposits	28	36,310,472	26,588,851
Other liabilities	29	861,909	351,478
Tax payable	11(b)	-	68,845
Dividends - payable		46,307	47,710
Loans from banks	30	6,783,610	3,803,905
Corporate bond	32	10,212,502	10,212,469
		54,214,800	41,073,258
SHAREHOLDERS' EQUITY			
Share capital	33	1,157,900	1,155,350
Reserves (Pages 45 & 46)	33	5,067,383	4,475,753
Shareholders' income notes and loans	34	50,750	50,750
		6,276,033	5,681,853
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY		60,490,833	46,755,111

The financial statements set on pages 39 to 104 were approved by the Board of Directors on 26th March 2015 and were signed on its behalf by:

Chairman: 

Director: 

Director: 

Company Secretary: 

The notes set out on pages 47 to 104 form an integral part of these financial statements.

CONSOLIDATED STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 31 DECEMBER 2014

	Note	2014 KShs.'000	2013 KShs.'000
Net cash flows from operating activities	35(a)	3,265,259	1,741,341
INVESTING ACTIVITIES			
Purchase of property and equipment		(16,446)	(107,573)
Sale of Investments		173,259	-
Investment in joint venture		-	(104,100)
Capital work in progress		(177,210)	(192,263)
Proceeds from sale of equipment		60,092	4,025
Additions to intangible assets		(137,889)	(396,410)
Net cash flow from investing activities		(98,194)	(796,321)
FINANCING ACTIVITIES			
Employee Share Ownership Plan		5,100	4,700
Dividend paid		(405,940)	(311,052)
Net cash flow from financing activities		(400,840)	(306,352)
Net increase in cash and cash equivalents	35(b)	2,766,225	638,668

The notes set out on pages 47 to 104 form an integral part of these financial statements.

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2014

	Share capital KShs.'000	Revaluation reserve KShs.'000	Share premium KShs.'000	Proposed dividends KShs.'000	Statutory credit risk reserve KShs.'000	Retained profits KShs.'000	Available -for-sale reserve KShs.'000	Total KShs.'000
2014:								
At 1 January 2014	1,155,350	512,331	1,554,523	231,070	238,371	2,096,597	20,515	5,808,757
Total comprehensive income for the year								
Net profit after taxation	-	-	-	-	-	975,336	-	975,336
Other comprehensive income	-	-	-	-	-	-	-	-
Surplus on revaluation of land and buildings	-	226,161	-	-	-	-	-	226,161
Deferred tax on revaluation	-	(36,924)	-	-	-	-	-	(36,924)
Change in fair value of available-for-sale investment	-	-	-	-	-	-	(85,151)	(85,151)
Deferred tax on change in fair value of available-for-sale investment	-	-	-	-	-	-	19,391	19,391
Transfer from statutory credit risk reserve	-	-	-	-	(174,350)	174,350	-	-
Total comprehensive income	-	189,237	-	-	(174,350)	1,149,686	(65,760)	1,098,813
Transactions with owners, recorded directly in equity								
Employee Share Ownership Plan	2,550	-	2,550	-	-	-	-	5,100
Dividend paid – 2013	-	-	-	(231,070)	-	-	-	(231,070)
Interim dividend paid – 2014	-	-	-	-	-	(173,468)	-	(173,468)
Proposed dividends	-	-	-	173,685	-	(173,685)	-	-
Total transactions with owners for the year	2,550	-	2,550	57,385	-	(347,153)	-	(399,438)
Balance as at 31 December 2014	1,157,900	701,568	1,557,073	173,685	64,021	2,899,130	(45,245)	6,508,132

The notes set out on pages 47 to 104 form an integral part of these financial statements.

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

2013:	Share capital KShs.'000	Revaluation reserve KShs.'000	Share premium KShs.'000	Proposed dividends KShs.'000	Statutory credit risk reserve KShs.'000	Retained profits KShs.'000	Available -for-sale reserve KShs.'000	Total KShs.'000
At 1 January 2013	1,153,000	512,331	1,552,173	161,420	241,845	1,502,228	(36,503)	5,086,494
Total comprehensive income for the year								
Net profit after taxation	-	-	-	-	-	995,196	-	995,196
Other comprehensive income								
Change in fair value of available-for-sale investments	-	-	-	-	-	-	57,018	57,018
Transfer from statutory credit risk reserve	-	-	-	-	(3,474)	3,474	-	-
Total comprehensive income	-	-	-	-	(3,474)	998,670	57,018	1,052,214
Transactions with owners, recorded directly in equity								
Employee Share Ownership Plan	2,350	-	2,350	-	-	-	-	4,700
Dividend paid - 2012	-	-	-	(161,420)	-	-	-	(161,420)
Interim dividend paid - 2013	-	-	-	-	-	(173,231)	-	(173,231)
Proposed dividends	-	-	-	231,070	-	(231,070)	-	-
Total transactions with owners for the year	2,350	-	2,350	69,650	-	(404,301)	-	(329,951)
Balance as at 31 December 2013	1,155,350	512,331	1,554,523	231,070	238,371	2,096,597	20,515	5,808,757

The notes set out on pages 47 to 104 form an integral part of these financial statements.

COMPANY STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2014

2014:	Share capital KShs.'000	Revaluation reserve KShs.'000	Share premium KShs.'000	Proposed dividends KShs.'000	Statutory credit risk reserve KShs.'000	Retained profits KShs.'000	Available -for-sale reserve KShs.'000	Total KShs.'000
At 1 January 2014	1,155,350	512,331	1,554,523	231,070	238,371	1,918,943	20,515	5,631,103
Total comprehensive income for the year								
Net profit after taxation	-	-	-	-	-	870,141	-	870,141
Other comprehensive income								
Surplus on revaluation of land and buildings	-	226,161	-	-	-	-	-	226,161
Deferred tax on revaluation	-	(36,924)	-	-	-	-	-	(36,924)
Change in fair value of available-for-sale investments	-	-	-	-	-	-	(85,151)	(85,151)
Deferred tax on change in fair value of available-for-sale investments	-	-	-	-	-	-	19,391	19,391
Transfer from statutory credit risk reserve	-	-	-	-	(174,350)	174,350	-	-
Total comprehensive income	-	189,237	-	-	(174,350)	1,044,491	(65,760)	993,618
Transactions with owners, recorded directly in equity								
Employee Share Ownership Plan	2,550	-	2,550	-	-	-	-	5,100
Dividend paid - 2013	-	-	-	(231,070)	-	-	-	(231,070)
Interim dividend paid - 2014	-	-	-	-	-	(173,468)	-	(173,468)
Proposed dividends	-	-	-	173,685	-	(173,685)	-	-
Total transactions with owners for the year	2,550	-	2,550	(57,385)	-	(347,153)	-	(399,438)
Balance as at 31 December 2014	1,157,900	701,568	1,557,073	173,685	64,021	2,616,281	(45,245)	6,225,283

The notes set out on pages 47 to 104 form an integral part of these financial statements.

COMPANY STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

	Share capital KShs.'000	Revaluation reserve KShs.'000	Share premium KShs.'000	Proposed dividends KShs.'000	Statutory credit risk reserve KShs.'000	Retained profits KShs.'000	Available -for-sale reserve KShs.'000	Total KShs.'000
2013:								
At 1 January 2013	1,153,000	512,331	1,552,173	161,420	241,845	1,510,801	(36,503)	5,095,067
Total comprehensive income for the year								
Net profit after taxation	-	-	-	-	-	808,969	-	808,969
Other comprehensive income								
Change in fair value of available-for-sale investments	-	-	-	-	-	-	57,018	57,018
Transfer from statutory credit risk reserve	-	-	-	-	(3,474)	3,474	-	-
Total comprehensive income	-	-	-	-	(3,474)	812,443	57,018	865,987
Transactions with owners, recorded directly in equity								
Employee Share Ownership Plan	2,350	-	2,350	-	-	-	-	4,700
Dividend paid - 2012	-	-	-	(161,420)	-	-	-	(161,420)
Interim dividend paid - 2013	-	-	-	-	-	(173,231)	-	(173,231)
Proposed dividends	-	-	-	231,070	-	(231,070)	-	-
Total transactions with owners for the year	2,350	-	2,350	69,650	-	(404,301)	-	(329,951)
Balance as at 31 December 2013	1,155,350	512,331	1,554,523	231,070	238,371	1,918,943	20,515	5,631,103

The notes set out on pages 47 to 104 form an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014

1. REPORTING ENTITY

Housing Finance is incorporated as a limited company in Kenya under the Kenyan Companies Act, and is domiciled in Kenya. The address of the company's registered office is shown on Page 2. The consolidated financial statements of the Group as at and for the year ended 31 December 2014 include the company and its subsidiaries (together referred as the "Group" and individually as "Group entities"). The Group is primarily involved in mortgage lending, provision of corporate and retail banking and bancassurance services.

2. BASIS OF PREPARATION

(a) Statement of compliance

The consolidated financial statements have been prepared in accordance with International Financial Reporting Standards (IFRSs) and in compliance with the Kenyan Companies Act.

For Kenyan Companies Act reporting purposes, the balance sheet is represented by the statement of financial position and the profit and loss account by the statement of profit or loss and other comprehensive income in these financial statements.

(b) Basis of measurement

The consolidated financial statements have been prepared on the historical cost basis of accounting except for the following:

- note 21 - available-for-sale financial assets are measured at fair value;
- note 23 - land and buildings are measured at revalued amounts.

(c) Functional and presentation currency

These consolidated financial statements are presented in Kenya shillings (KShs.), which is the Bank's functional currency.

Items included in the financial statements are measured using the currency of primary economic environment in which the entity operates i.e. Kenya shillings. Except as otherwise indicated, financial information presented in Kenya Shillings has been rounded to the nearest thousand (KShs.'000).

(d) Use of estimates and judgements

The preparation of financial statements requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, incomes and expenses. Actual results may ultimately differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to estimates are recognised prospectively.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

2. BASIS OF PREPARATION (Continued)**(d) Use of estimates and judgements (Continued)****(i) Judgements**

Information about judgements made in applying accounting policies that have the most significant effects on the amounts recognised in the consolidated financial statements is included in the following notes:

- Note 19 – consolidation: whether the Group has de facto control over an investee;
- Note 19 – classification of the joint arrangement; and
- Note 37 – lease classification.

(ii) Assumptions and estimation uncertainties

Information about assumptions and estimation uncertainties that have a significant risk of resulting in a material adjustment in the year ending 31 December 2014 is included in the following notes:

- Note 26 – recognition of deferred tax assets: availability of future taxable profits against which carryforward tax losses can be used;
- Notes 36 – recognition and measurement of provisions and contingencies: key assumptions about the likelihood and magnitude of an outflow of resources.

In particular, information about significant areas of estimation and critical judgements in applying accounting policies that have the most significant effect on the amount recognised in the financial statements is described in Note 6.

3. SIGNIFICANT ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to all years presented on these financial statements and have been applied consistently by the Group.

(a) Basis of consolidation**(i) Business combinations**

Business combinations are accounted for using the acquisition method as at the acquisition date – i.e. when control is transferred to the Group. The consideration transferred in the acquisition is generally measured at fair value, as are the identifiable net assets acquired. Any goodwill that arises is tested annually for impairment. Any gain on a bargain purchase is recognised in profit or loss immediately. Transaction costs are expensed as incurred, except if they are related to the issue of debt or equity securities.

The consideration transferred does not include amounts related to the settlement of pre-existing relationships. Such amounts are generally recognised in profit or loss.

Any contingent consideration payable is measured at fair value at the acquisition date. If the contingent consideration is classified as equity, then it is not remeasured and settlement is accounted for within equity. Otherwise, subsequent changes in the fair value of the contingent consideration are recognised in profit or loss.

If share-based payment awards (replacement awards) are required to be exchanged for awards held by the acquiree's employees (acquiree's awards) and relate to past services, then all or a portion of the amount of the acquirer's replacement awards is included in measuring the consideration transferred in the business combination. This determination is based on the market-based value of the replacement awards compared with the market-based value of the acquiree's awards and the extent to which the replacement awards relate to pre-combination service.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

3. SIGNIFICANT ACCOUNTING POLICIES (Continued)**(a) Basis of consolidation (Continued)****(ii) Non-controlling interests**

Non-controlling interests are measured at their proportionate share of the acquiree's identifiable net assets at the acquisition date.

Changes in the Group's interest in a subsidiary that do not result in a loss of control are accounted for as equity transactions.

(iii) Subsidiaries

'Subsidiaries' are investees controlled by the Group. The Group 'controls' an investee if it is exposed to, or has rights to, variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. The financial statements of subsidiaries are included in the consolidated financial statements from the date on which control commences until the date when control ceases.

(iv) Loss of control

When the Group loses control over a subsidiary, it derecognises the assets and liabilities of the subsidiary, and any related NCI and other components of equity. Any resulting gain or loss is recognised in profit or loss. Any interest retained in the former subsidiary is measured at fair value when control is lost.

(v) Interest in equity-accounted investees

The Group's interests in equity-accounted investees comprise interests in joint ventures.

A joint venture is an arrangement in which the Group has joint control, whereby the Group has rights to the net assets of the arrangement, rather than rights to its assets and obligations for its liabilities.

Interests in joint ventures are encountered for using the equity method. They are initially recognised at cost, which includes transaction costs. Subsequent to initial recognition, the consolidated financial statements include the Group's share of the profit or loss and other comprehensive income of equity accounted investees, until the date on which significant influence or joint control ceases.

(vi) Transactions eliminated on consolidation

Intra-group balances, and income and expenses (except for foreign currency transaction gains or losses) arising from intra-group transactions, are eliminated in preparing the consolidated financial statements. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

(b) Revenue recognition

Income is recognised on an accrual basis.

(i) Interest

Interest income and expense are recognised in profit or loss using the effective interest method. The effective interest rate is the rate that exactly discounts the estimated future cash payments and receipts through the expected life of the financial asset or liability (or, where appropriate, a shorter period) to the carrying amount of the financial asset or liability. The effective interest rate is established on initial recognition of the financial asset and liability and is not revised subsequently.

The calculation of the effective interest rate includes all fees paid or received, transaction costs, and discounts or premiums that are an integral part of the effective interest rate. Transaction costs are incremental costs that are directly attributable to the acquisition, issue or disposal of a financial asset or liability.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

3. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(b) Revenue recognition (Continued)

(i) Interest (Continued)

Interest income and expense presented in the statement of comprehensive income include:

- interest on financial assets and liabilities at amortised cost on an effective interest rate basis; and,
- interest on available-for-sale investment securities on an effective interest basis.

(ii) Non interest income

i. Fees and commission income

Fees and commission income that are integral to the effective interest rate on a financial asset or liability are included in the measurement of the effective interest rate.

Other fees and commission income, including account servicing fees, are recognised as the related services are performed.

ii. Sale of houses

Revenue is recognised from sale of houses in the profit or loss when the significant risks and rewards of ownership have been transferred to the buyer.

iii. Rental income

Rental income in respect of operating leases is accounted for on a straight-line basis over the lease terms on ongoing leases.

iv. Net trading income

Net trading income comprises gains less losses related to trading assets and liabilities and includes all realised and unrealised fair value changes, interest and foreign exchange differences.

(c) Foreign currency transactions

Transactions in foreign currencies during the year are converted into Kenya Shillings at the rates ruling at the transaction dates. Monetary assets and liabilities at the reporting date which are expressed in foreign currencies are translated into Kenya shillings at rates ruling at the reporting date. The resulting realised and unrealised differences from conversion and translations are recognised in the statement of comprehensive income. Non-monetary assets and liabilities denominated in foreign currency are recorded at the exchange rate ruling at the date of the transaction.

(d) Property and equipment

(i) Recognition and measurement

All categories of property and equipment are initially recorded at cost. Property and equipment is subsequently shown at a revalued amount, being its fair value at the date of revaluation less any subsequent accumulated depreciation and impairment losses. Valuations are performed by external independent valuers. Purchased software that is integral to the functioning of related equipment is capitalised as part of that equipment. Increases in the carrying amount arising on revaluation are credited to other comprehensive income. Decreases that offset previous increases of the same asset are charged against the revaluation surplus; all other decreases are charged to the profit or loss.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

3. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(d) Property and equipment (Continued)

(i) Recognition and measurement (Continued)

The cost of replacing a component of an item of property and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the group and its cost can be measured reliably. The carrying amount of the replaced item is derecognised. The cost of day to day servicing of property and equipment are recognised in the profit and loss.

(ii) Depreciation

Freehold land is not depreciated.

Depreciation is calculated on a straight line basis to allocate the cost or revalued amount to their residual values over their estimated useful lives as follows:

Computers	20%
Motor vehicles	20%
Office equipment, fixtures and fittings	5% - 20%

Buildings on leasehold land are depreciated over the remaining period of the lease. Buildings on freehold land are depreciated over fifty years.

Depreciation method, useful lives and residual values are reassessed at the reporting date.

(iii) Disposal of property and equipment

Gains and losses on disposal of property and equipment are determined by reference to the carrying amount and are recognised in profit or loss in the period in which they arise.

(e) Intangible assets

Where computer software is not an integral part of the related computer hardware it is recognised as an intangible asset. The software is stated on the statement of financial position at costs less accumulated amortisation and impairment losses. Subsequent expenditure on software assets is capitalised only when it increases the future economic benefit embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Software costs are amortised over the estimated useful life, currently estimated at five (5) years, on a straight line basis from the date the software is available for use.

(f) Prepaid operating lease rental

Leases where a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Payments made under operating leases arrangements (whether pre-paid or post-paid) are charged to profit or loss on a straight-line basis over the period of the lease.

(g) Employee benefits

(i) Employee Retirement Benefits Plan

The Group operates a defined contribution scheme whose funds are held in a separate trustee administered and guaranteed scheme managed by an approved insurance company. The pension plan is funded by contributions from the employees and the Group. The Group's contributions are charged to profit or loss in the year to which they relate.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

3. SIGNIFICANT ACCOUNTING POLICIES (Continued)**(g) Employee benefits (Continued)****(i) Employee Retirement Benefits Plan (Continued)**

The employees and the Group also contribute to the National Social Security Fund, a national retirement benefit scheme. Contributions are determined by the local statute and the Group's contributions are charged to profit or loss in the year to which they relate. The Group has no further obligation once the contributions have been paid.

(ii) Employee Share Ownership Plan (ESOP)

The grant date fair value of equity-settled share-based payment awards (i.e. stock options) granted to employees is recognised as an employee expense, with a corresponding increase in equity, over the period in which the employees unconditionally become entitled to the awards. The amount recognised as an expense is adjusted to reflect the number of share awards for which the related service and non-market performance vesting conditions are expected to be met such that the amount ultimately recognised as an expense is based on the number of share awards that do meet the related service and non-market performance conditions at the vesting date. For share-based payment awards with non-vesting conditions, the grant-date fair value of the share-based payment is measured to reflect such conditions and there is no true-up for differences between expected and actual outcomes.

(iii) Accrued leave

Accrual for annual leave is made as employees earn it and reduced when taken.

(iv) Termination benefits

Termination benefits are recognised as an expense when the Group is demonstrably committed, without realistic possibility of withdrawal, to a formal detailed plan to either terminate employment before the normal retirement date, or to provide termination benefits as a result of an offer made to encourage voluntary redundancy. Termination benefits for voluntary redundancies are recognised if the Group has made an offer of voluntary redundancy, it is probable that the offer will be accepted, and the number of acceptances can be estimated reliably. If benefits are payable more than 12 months after the reporting date, then they are discounted to their present value.

(v) Short-term benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short-term cash bonus or profit-sharing plans if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

(h) Taxation

Tax on the operating results for the year comprises current tax and deferred tax. Current tax and deferred tax are recognised in profit or loss except to the extent that they relate to items recognised directly in equity or in other comprehensive income.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted at the reporting date, and any adjustments to tax payable in respect of previous years. Current tax is provided on the results in the year as shown in the financial statements adjusted in accordance with tax legislation.

Deferred tax is recognised in respect of temporary differences between carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for:

- temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss;

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

3. SIGNIFICANT ACCOUNTING POLICIES (Continued)**(h) Taxation (Continued)**

- temporary differences related to investments in subsidiaries to the extent that it is probable that they will not reverse in the foreseeable future; and
- taxable temporary differences arising on the initial recognition of goodwill.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to taxes levied by the same tax authority on the same taxable entity, or on different tax entities, but they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realised simultaneously.

A deferred tax asset is recognised for unused tax losses and deductible temporary differences to the extent that it is probable that future taxable profit will be available against which the tax asset can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised. Deferred tax is calculated on the basis of the tax rates enacted at the reporting date.

(i) Cash and cash equivalents

Cash and cash equivalents include notes and coins at hand, unrestricted balances held with Central Bank of Kenya, balances with commercial banks and highly liquid financial assets with original maturities of less than three months on date of acquisition, which are subject to insignificant risk of changes in their fair value, and are used by the Group in the management of its short-term commitments.

Cash and cash equivalents are carried at amortised cost in the statement of financial position.

(j) Financial assets and liabilities**(i) Recognition**

The Group initially recognises loans and advances, deposits and debt securities on the date at which they are originated. All other financial assets and liabilities (including assets designated at fair value through profit and loss) are initially recognised on the trade date at which the Group becomes a party to the contractual provision of the instrument.

A financial asset or liability is initially measured at fair value plus (for an item not subsequently measured at fair value through profit or loss) transaction costs that are directly attributable to its acquisition or issue.

Subsequent to initial recognition, financial liabilities (deposits and debt securities) are measured at their amortized cost using the effective interest method except where the group designates liabilities at fair value through profit and loss.

(ii) Classification**Financial assets**

The Group classifies its financial assets in one of the following categories:

- loans and receivables;
- held to maturity;
- available-for-sale;

Management determines the classification of its investments at initial recognition.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

3. SIGNIFICANT ACCOUNTING POLICIES (Continued)**(j) Financial assets and liabilities (Continued)****(ii) Classification (Continued)****Financial liabilities**

The Group classifies its financial liabilities, other than financial guarantees and loan commitments, as measured at amortized cost or fair value through profit or loss.

Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They arise when the Group provides money directly to a debtor with no intention of trading the receivable. These include mortgage advances to customers, staff loans and placements with other banks. Loans and advances are subsequently measured at their amortised cost using the effective interest method.

Held-to-maturity

Held-to-maturity investments are non-derivative financial assets with fixed or determinable payments and fixed maturities that the Group's management has the positive intention and ability to hold to maturity. If the Group were to sell other than an insignificant amount of held-to-maturity assets, the entire category would be tainted and reclassified as available for sale. These include treasury bills, treasury bonds and government stock. Subsequent to initial recognition, held to maturity financial assets are measured at amortised cost using the effective interest method, less any impairment losses.

Available-for-sale

Available-for-sale financial assets are those non-derivative financial assets that are designated as available for sale or are not classified as (a) loans and receivables (b) held-to-maturity or (c) financial assets at fair value through profit and loss.

Subsequent to initial recognition, they are measured at fair value and changes therein, other than impairment losses and foreign currency differences on available for sale debt instruments are recognised in other comprehensive income and presented in the fair value reserve in equity. When an investment is derecognised, the gain or loss accumulated in equity is re-classified to profit or loss.

(iii) Identification and measurement of impairment of financial assets

At each reporting date the Group assesses whether there is objective evidence that financial assets not carried at fair value through profit or loss are impaired. Financial assets are impaired when objective evidence demonstrates that a loss event has occurred after the initial recognition of the asset, and that the loss event has an impact on the future cash flows on the asset than can be estimated reliably.

The Group considers evidence of impairment at both a specific asset and collective level. All individually significant financial assets are assessed for specific impairment. All significant assets found not to be specifically impaired are then collectively assessed for any impairment that has been incurred but not yet identified. Assets that are not individually significant are then collectively assessed for impairment by grouping together financial assets (carried at amortised cost) with similar risk characteristics.

Objective evidence that financial assets (including equity securities) are impaired can include default or delinquency by a borrower, restructuring of a loan or advance by the Group on terms that the Group would otherwise not consider, indications that a borrower or issuer will enter bankruptcy, the disappearance of an active market for a security, or other observable data relating to a group of assets such as adverse changes in the payment status of borrowers or issuers in the group, or economic conditions that correlate with defaults in the group.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

3. SIGNIFICANT ACCOUNTING POLICIES (Continued)**(j) Financial assets and liabilities (Continued)****(iii) Identification and measurement of impairment of financial assets (Continued)**

In assessing collective impairment the Group uses historical trends of the probability of default, timing of recoveries and the amount of loss incurred, adjusted for management's judgement as to whether current economic and credit conditions are such that the actual losses are likely to be greater or less than suggested by historical trends. Default rate, loss rates and the expected timing of future recoveries are regularly benchmarked against actual outcomes to ensure that they remain appropriate.

Impairment losses on assets carried at amortised cost are measured as the difference between the carrying amount of the financial assets and the present value of estimated cash flows discounted at the assets' original effective interest rate. Losses are recognised in profit or loss and reflected in an allowance account against loans and advances. Interest on the impaired asset continues to be recognised through the unwinding of the discount.

When a subsequent event causes the amount of impairment loss to decrease, the impairment loss is reversed through profit or loss.

Impairment losses on available-for-sale investment securities are recognised by transferring the difference between the amortised acquisition cost and current fair value out of equity to the profit or loss. Changes in cumulative impairment losses attributable to the effective interest method are reflected as a component of interest income. When a subsequent event causes the amount of impairment loss on an available-for-sale debt security to decrease, the impairment loss is reversed through profit or loss.

However, any subsequent recovery in the fair value of an impaired available-for-sale equity security is recognised in other comprehensive income directly in equity.

(iv) Derecognition

The Group derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or when it transfers the rights to receive the contractual cash flows on the financial asset in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred. Any interest in transferred financial assets that is created or retained by the Group is recognised as a separate asset or liability.

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled or expire.

The Group enters into transactions whereby it transfers assets recognised on its statement of financial position, but retains either all or substantially all of the risks and rewards of the transferred assets or a portion of them. If all or substantially all risks and rewards are retained, then the transferred assets are not derecognised from the statement of financial position. Transfers of assets with retention of all or substantially all risks and rewards include, for example, securities lending and repurchase transactions.

(v) Offsetting

Financial assets and liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Group has a legal right to set off the amounts and it intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

Income and expenses are presented on a net basis only when permitted under IFRS, or for gains and losses arising from a group of similar transactions such as in the Group's trading activity.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

3. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(k) Impairment for non-financial assets

The carrying amounts of the Group's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists then the assets' recoverable amount is estimated.

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount. A cash-generating unit is the smallest identifiable asset group that generates cash flows that largely are independent from other assets and groups. Impairment losses are recognised in the profit or loss. Impairment losses recognised in respect of cash-generating units are allocated first to reduce the carrying amount of any goodwill allocated to the units and then to reduce the carrying amount of the other assets in the unit (group of units) on a pro-rata basis.

(l) Segmental reporting

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. All operating segments' operating results are reviewed regularly by the Group's Executive Committee (EXCO) to make decisions about resources to be allocated to the segment and assess its performance, and for which discrete financial information is available.

(m) Dividends

Dividends are recognised as a liability in the year in which they are declared. Proposed dividends are disclosed as a separate component of equity.

(n) Earnings per share

Earnings per share is calculated based on the profit attributable to shareholders divided by the weighted number of ordinary shares. Diluted earnings per share is the same as the basic earnings per share. Diluted earnings per share are computed using the weighted average number of equity shares and dilutive potential ordinary shares outstanding during the year. During the year there were no significant outstanding shares with dilutive potential.

(o) Adoption of new and revised International Financial Reporting Standards (IFRSs)

The principal accounting policies adopted in the preparation of these financial statements have been applied consistently across the Group entities and to all periods presented in these financial statements. Certain comparative amounts in the statement of profit or loss and other comprehensive income have been re-presented as a result of a change in the accounting policy regarding the presentation of items of other comprehensive income.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

3. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(o) Adoption of new and revised International Financial Reporting Standards (IFRSs) (Continued)

(i) Adoption of new standards or amendments effective for the period ended 31 December 2014.

New standard or amendments	Effective for annual periods beginning on or after
Amendments to IAS 32 - Offsetting Financial Assets and Financial Liabilities (2011)	1 January 2014
Investment Entities- Amendments to IFRS 10, IFRS 12, and IAS 27 (2012)	1 January 2014
Amendments to IAS 36 - Recoverable Amount Disclosures for Non-Financial Assets (2013)	1 January 2014
Amendments to IAS 39 – Novation of	
Derivatives and Continuation of Hedge Accounting	1 January 2014
IFRIC 21 Levies (2013)	1 January 2014

Impact of relevant new and amended standards and interpretations on the financial statements for the period ended 31 December 2014.

Amendments to IAS 32: Offsetting Financial Assets and Financial Liabilities

The amendments address inconsistencies in current practice when applying the offsetting criteria in IAS 32, mainly by clarifying the meaning of “currently has a legally enforceable right of set-off” and that some gross settlement systems may be considered equivalent to net settlement. The Group has considered the provisions of these amendments in the preparation of the Group's Financial Statements.

Amendments to IFRS 10, IFRS 12 and IAS 27: Investment Entities (2012)

The amendments define “investment entities” and provide them an exemption from the consolidation of subsidiaries; instead, an investment entity is required to measure the investment in each eligible subsidiary at fair value through profit or loss in accordance with IFRS 9 / IAS 39 (the exception does not apply to subsidiaries that provide services relating to the investment entity's investment activities).

An investment entity is required to account for its investment in a relevant subsidiary in the same way in its consolidated and separate financial statements, and additional disclosures are introduced. The Group reassessed its control conclusions as of 1 January 2014. Following the assessment, there was no impact on the Group Financial Statements.

Amendments to IAS 36: Recoverable Amount Disclosures for Non-Financial Assets (2013)

The amendments reduce the circumstances in which the recoverable amount of assets or cash-generating units is required to be disclosed, clarify the disclosures required, and introduce an explicit requirement to disclose the discount rate used in determining impairment (or reversals) where recoverable amount (based on fair value less costs of disposal) is determined using a present value technique. Consequently, the Group has expanded its disclosure of recoverable amounts when they are based on fair value less costs of disposals and assessed any impairment.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

3. SIGNIFICANT ACCOUNTING POLICIES (Continued)**(o) Adoption of new and revised International Financial Reporting Standards (IFRSs) (Continued)****(i) Adoption of new standards or amendments effective for the period ended 31 December 2014. (Continued)****Amendments to IAS 39 titled Novation of Derivatives and Continuation of Hedge Accounting (June 2013)**

The amendments permit the continuation of hedge accounting in a situation where a counterparty to a derivative designated as a hedging instrument is replaced by a new central counterparty (known as 'novation of derivatives'), as a consequence of laws or regulations, if specific conditions are met. The amendment did not have an impact on the Group's financial statements.

IFRIC 21: Levies (2013)

The interpretation provides guidance on when to recognise a liability for a levy imposed by a government. The obligating event for the recognition of a liability is the activity that triggers the payment of the levy in accordance with the relevant legislation. It also provides guidance on recognition of a liability to pay levies: the liability is recognised either progressively if the obligating event occurs over a period of time, or when the minimum threshold is reached if an obligation is triggered on reaching that minimum threshold. The amendment did not have an impact on the Group's financial statements.

(ii) New standards and amendments issued but not yet adopted

New standard or amendments	Effective for annual periods beginning on or after
IFRS 9 Financial Instruments	1 January 2018
IFRS 15 Revenue from contracts with customers	1 January 2017
IAS 16 and 41 Agriculture: Bearer plants	1 January 2016

IFRS 9: Financial Instruments (2010)

It replaces parts of IAS 39 - Financial Instruments, Recognition and Measurement that relates to classification, measurement and recognition of financial assets and financial liabilities. IFRS 9 requires financial assets to be classified, at initial recognition as either measured at fair value or at amortised cost. The classification depends on the entity's business model for managing its financial instruments and the characteristics of the contractual cash flows of the instrument. For financial liabilities, the standard retains most of the requirements of IAS 39. The main change is that, in cases where the fair value option is applied for financial liabilities, the part of a fair value change arising from a change in an entity's own credit risk is recorded in other comprehensive income rather than in the profit or loss, unless this creates an accounting mismatch.

IFRS 9 is effective for annual reporting periods beginning on or after 1 January 2018, with early adoption permitted. The Group is assessing the potential impact on its consolidated financial statements resulting from the application of IFRS 9.

IFRS 15 Revenue from Contracts with Customers

The IFRS specifies how and when an IFRS reporter will recognise revenue as well as requiring such entities to provide users of financial statements with more informative, relevant disclosures. The standard provides a single, principles based five-step model to be applied to all contracts with customers in recognising revenue being: Identify the contract(s) with a customer; Identify the performance obligations in the contract; Determine the transaction price; Allocate the transaction price to the performance obligations in the contract; and Recognise revenue when (or as) the entity satisfies a performance obligation.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

3. SIGNIFICANT ACCOUNTING POLICIES (Continued)**(o) Adoption of new and revised International Financial Reporting Standards (IFRSs) (Continued)****(ii) New standards and amendments issued but not yet adopted (Continued)**

IFRS 15 is effective for annual reporting periods beginning on or after 1 January 2017, with early adoption permitted. The Group is assessing the potential impact on its consolidated financial statements resulting from the application of IFRS 15.

Amendments to IAS 41- Bearer Plants (Amendments to IAS 16 and IAS 41)

Bearer Plants (Amendments to IAS 16 and IAS 41) was issued in June 2014. The amendments change the financial reporting for bearer plants such as grape vines, rubber trees and oil palms. The amendment requires that bearer plants should be accounted for in the same way as property, plant and equipment in IAS 16 Property, Plant and Equipment, instead of IAS 41 while the produce growing on bearer plants will remain within the scope of IAS 41.

The new requirements are effective from 1 January 2016, with earlier adoption permitted. The amendment will not have an impact on the Group's financial statements as the Group does not have bearer plants.

The following new or amended standards are not expected to have a significant impact of the Group's consolidated financial statements.

- IFRS 14: Regulatory Deferral Accounts
- Accounting for Acquisitions of Interests in Joint Operations (Amendments to IFRS 11)
- Clarification of Acceptable Methods of Depreciation and Amortization (Amendments to IAS 16 and IAS 38)
- Defined Benefit Plans: Employee Contributions (Amendments to IAS 19)

4. FINANCIAL RISK MANAGEMENT**Principles**

Housing Finance faces various types of risks which arise from its day to day operations as a financial institution. The Board of Directors and Management therefore devote a significant portion of their time to the management of these risks. The mainstay of effective risk management is the identification of significant risks, the quantification of the Group's risk exposure, actions to limit risk and the constant monitoring of risk.

The overarching aim of risk management is to ensure that all risks assumed in the course of the Group's business are recognised early on and mitigated by effective risk management. Successful risk management is recognised as a pre-condition for the sustained growth and success of the Group. Risk management and monitoring are implemented via the Group's risk management and risk control process and the organisation structure corresponds to the CBK Risk Management Guidelines.

In order to ensure continuous improvement of risk management at all times the following key risk principles have been adopted and are applied;

- The Board of Directors assumes the ultimate responsibility for the level of risks taken by the Group and is responsible to oversee the effective implementation of the risk strategies.
- The organisational risk structure and the functions, tasks and powers of the employees, committees and departments involved in the risk processes are continuously being reviewed to ensure clarity of their roles and responsibilities.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

4. FINANCIAL RISK MANAGEMENT (Continued)

- Risk issues are taken into consideration in all business decisions. Measures are in place to develop risk-based performance measures and this is being supplemented by setting risk limits at the overall Company and divisional levels, as well as by enforcing consistent operating limits for individual business activities.
- Risk management is increasingly being linked to management processes such as strategic planning, annual budgeting and performance measurement.
- Identified risks are reported in a transparent and timely manner and in full to the responsible senior management.
- Appropriate and effective controls exist for all processes entailing risks.

All these principles are enshrined in the risk management framework. It is further supplemented by specific guidelines for measuring and monitoring individual risk types as issued by the CBK Risk Management Guidelines.

The section below provides details of the Group's exposure to various risks and describes the methods used by management to control risk. The most important types of financial risks to which the Group is exposed are credit risk, liquidity risk and market risk mainly interest risk and operational risk.

(i) Credit risk

Credit risk is the current or prospective risk to earnings and capital arising from an obligor's failure to meet the terms of any contract with the Group or if an obligor otherwise fails to perform as agreed.

Management of credit risk

The Group is subject to credit risk through its lending and investing activities.

Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Group's loans and advances to customers and other banks, and investment debt securities. For risk management reporting purposes, the Group considers and consolidates all elements of credit risk exposure (such as individual obligor default risk, country and sector risk).

Credit risk is the Group's largest risk and considerable resources, expertise and controls are devoted to managing it and comprehensive strategies, policies and procedures have been developed to effectively manage this risk.

The Board provides effective oversight of the overall credit portfolio through the Board Credit Committee (BCC). This committee is the decision making body with responsibility for loans that exceed the scope of authority of the management lending committee. Acting on the basis of the powers granted to it by the Board, the BCC decides on the overall lending limits for the Group and approves the credit risk strategies to be adopted.

The Group has adequate Board approved Credit Policies which are reviewed annually and which cover all aspects of credit risk management (mortgage origination, analysis and appraisal, acceptable collateral, approval authorities and non-performing loan management).

At the management level, there is a Credit Risk Department staffed with highly skilled personnel who ensure credit risks are identified and mitigated. Within this department there is a fully fledged mortgage recoveries and rehabilitation unit with the responsibility of formulating workout solutions and restructuring mortgages in distress.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

4. FINANCIAL RISK MANAGEMENT (Continued)

(i) Credit risk (Continued)

The Group's primary exposure to credit risk arises through its mortgage advances to customers. The amount of credit exposure in this regard is represented by the carrying amounts of the assets on the statement of financial position. The Group is also exposed to credit risk on debt investments. The current credit exposure in respect of the instruments is equal to the carrying amount of these assets in the statement of financial position.

The risk that counterparties to instruments might default on their obligations is monitored on an ongoing basis. To manage the level of credit risk, the Group deals with counterparties of good credit standings and obtain collateral.

The Group also monitors concentration of credit risk that arises by customer in relation to mortgage advances to customers. The Group has no significant exposure to any individual customer or counterparty.

Impaired mortgage advances

Impaired loans and securities are loans and advances for which the Group determines that it is probable that it will be unable to collect all principal and interest due according to the contractual terms of the loan. These loans are graded as substandard to loss categories in the Group's internal credit risk grading system.

Past due but not impaired mortgages

Past due but not impaired loans are those for which contractual interest or principal payments are past due but not for more than three months and the Group believes that impairment is not appropriate on the basis that in the Group's assessment the total outstanding balances are recoverable and the level of security / collateral available and / or the stage of collection of amounts owed to the Group is adequate. Any amounts past due for more than three months are considered impaired.

Mortgages with renegotiated terms

Mortgages with renegotiated terms are mortgages that have been restructured due to deterioration in the borrower's financial position and where the Group has made concessions that it would not otherwise consider. Once the loan is restructured it remains in this category until satisfactory performance after restructuring.

Allowances for impairment

The Group establishes an allowance for impairment losses on assets carried at amortised cost or classified as available for sale that represents its estimate of incurred losses in its loan and investment debt security portfolio. The main components of this allowance are a specific loss component that relates to individually significant exposures, and a collective loan loss allowance established for groups of homogeneous assets in respect of losses that have been incurred but have not been identified on loans that are considered individually insignificant as well as individually significant exposures that were subject to individual assessment for impairment but not found to be individually impaired.

Write-off policy

The Group writes off a loan / security balance (and any related allowances for impairment losses) when Group Credit determines that the mortgages / securities are uncollectible. This determination is reached after considering information such as the occurrence of significant changes in the borrower financial position such that the borrower can no longer pay the obligation, or that proceeds from collateral will not be sufficient to pay back the entire exposure.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

4. FINANCIAL RISK MANAGEMENT (Continued)

(i) Credit risk (Continued)

Exposure to credit risk	Mortgage advances		Investment in government securities		Investment Placement with in equities		Other banks	
	2014 KShs.'000	2013 KShs.'000	2014 KShs.'000	2013 KShs.'000	2014 KShs.'000	2013 KShs.'000	2014 KShs.'000	2013 KShs.'000
Impaired loans	4,163,451	3,209,739	-	-	-	-	-	-
Gross amount allowance for impairment	(1,389,826)	(878,649)	-	-	-	-	-	-
Carrying amount	2,773,625	2,331,090	-	-	-	-	-	-
Neither past due nor impaired								
(normal and watch)	42,547,378	32,952,381	264,332	288,167	-	151,500	7,597,238	6,878,601
Allowance for impairment incurred but not reported	(77,464)	(67,574)	-	-	-	-	-	-
Carrying amount	42,469,914	32,884,807	264,332	288,167	151,500	7,597,238	6,878,601	
Net carrying amount	45,243,539	35,215,897	264,332	288,167	-	151,500	7,597,238	6,878,601

In addition to the above, the Group has entered into lending commitments of KShs. 9,086,451, 144 (2013 – KShs. 8,193,903,790) with various counter parties.

The carrying amounts of cash and bank balances, investments in government securities, placements and balances with other banking institutions and the amounts due from related companies equal the maximum exposure to risk. In addition, these balances are neither past due nor impaired.

The Group holds collateral against mortgage advances to customers in the form of mortgage interests over property. Estimates of fair value are based on the value of collateral assessed at the time of borrowing, and generally are not updated except when a loan is individually assessed as impaired. Collateral is not held over placements with banks and investment in government securities as these are considered to be risk free.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

4. FINANCIAL RISK MANAGEMENT (Continued)

(i) Credit risk (Continued)

An estimate of the fair values of collateral against loans and advances to customers is shown below:

	2014 KShs.'000	2014 KShs.'000
Against impaired accounts	7,208,226	5,819,734
Against accounts not impaired	125,524,668	86,650,273
	132,732,894	92,470,007

Details of financial and non-financial assets obtained by the Group during the year by taking possession of collateral held against loans and advances held at the year-end are shown below:

	2014 KShs.'000	2013 KShs.'000
Properties	132,684,841	92,443,172
Secured by Cash	48,053	26,835
	132,732,894	92,470,007

The Group's policy is to pursue timely realisation of the collateral in an orderly manner. The Group generally does not use the non-cash collateral for its own operations.

(ii) Liquidity risk

Liquidity risk is the current or prospective risk to earnings and capital arising from the institution's failure to meet its maturing obligations when they fall due without incurring unacceptable losses.

The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

To this end, there is a Board approved policy to effectively manage liquidity at all times to meet mortgage demand and deposit withdrawals, regulatory requirements (liquidity ratio), unexpected outflow / non-receipt of expected inflow of funds as well as ensure adequate diversification of funding sources. The Asset & Liability Committee (ALCO) undertakes statement of financial position liquidity management and scenario analysis as per the policy on a bi-weekly basis.

The Group has access to a diverse funding base. Funds are raised mainly from deposits, share capital, corporate bond and loans. This enhances funding flexibility, limits dependence on any one source of funds and generally lowers the cost of funds. The Group strives to maintain a balance between continuity of funding and flexibility through the use of liabilities with a range of maturities. The Group continually assesses liquidity risk by identifying and monitoring changes in funding required to meet business goals and targets set in terms of the overall Group strategy.

In addition the Group holds a portfolio of liquid assets as part of its liquidity risk management strategy.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

4. FINANCIAL RISK MANAGEMENT (Continued)

(ii) Liquidity risk (Continued)

Exposure to liquidity risk

The key measure used by the Group for managing liquidity risk is the ratio of net liquid assets to deposits from customers. For this purpose net liquid assets are considered as including cash and cash equivalents and investment securities for which there is an active and liquid market less any deposits from financial institutions and commitments maturing within the next 91 days. Details of the reported Group ratio of net liquid assets to customers' deposits at the reporting date and during the reporting year were as follows:

	2014	2013
At 31 December	30.76%	33.12%
Average for the year	29.39%	34.18%
Maximum for the year	34.50%	39.12%
Minimum for the year	24.07%	26.40%

The table below analyses the liquidity position of the Group's financial assets and liabilities:

31 December 2014:	Due on demand KShs.'000	Due within 3 months KShs. '000	Due between 3 and 12 months KShs.'000	Due between 1 and 5 years KShs.'000	Due after 5 years KShs.'000	Total KShs.'000
Financial assets						
Cash and bank balances	4,028,234	-	-	-	-	4,028,234
Placements with other banks	5,078,103	2,519,135	-	-	-	7,597,238
Investment in Government securities	-	264,332	-	-	-	264,332
Net loans & advances to customers	193,595	1,671,264	3,209,974	5,580,141	34,588,565	45,243,539
Total	9,299,932	4,454,731	3,209,974	5,580,141	34,588,565	57,133,343
Financial liabilities						
Customer deposits	9,877,724	17,184,252	3,407,895	138,110	5,497,948	36,105,929
Loans from banks	-	272,582	510,078	5,049,680	951,270	6,783,610
Borrowed funds	-	-	-	147,000	-	147,000
Corporate bond	-	-	212,502	10,000,000	-	10,212,502
Government income notes	-	-	-	-	50,750	50,750
Total	9,877,724	17,456,834	4,130,475	15,334,790	6,499,968	53,299,791
Guarantees	-	34,411	13,919	26,400	-	74,730
Unrecognised mortgage commitments	-	4,670,250	4,416,201	-	-	9,086,451
At 31 December 2014	(577,792)	(17,706,764)	(5,350,621)	(9,781,049)	28,088,597	(5,327,629)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

4. FINANCIAL RISK MANAGEMENT (Continued)

(ii) Liquidity risk (Continued)

31 December 2013:	Due on demand KShs.'000	Due within 3 months KShs. '000	Due between 3 and 12 months KShs.'000	Due between 1 and 5 years KShs.'000	Due after 5 years KShs.'000	Total KShs.'000
Financial assets						
Cash and bank balances	1,719,004	-	-	-	-	1,719,004
Placements with other banks	-	6,878,601	-	-	-	6,878,601
Investment in Government securities	288,167	-	-	-	-	288,167
Equity investments	-	-	-	-	151,500	151,500
Net loans & advances to customers	154,735	2,632,483	1,592,026	3,045,379	27,791,274	35,215,897
Total	2,161,906	9,511,084	1,592,026	3,045,379	27,942,774	44,253,169
Financial liabilities						
Customer deposits	7,318,699	11,623,828	3,017,766	71,364	4,475,547	26,507,204
Loans from banks	-	151,360	405,543	2,491,791	755,211	3,803,905
Borrowed funds	-	-	-	-	347,276	347,276
Corporate bond	-	-	212,469	7,030,900	2,969,100	10,212,469
Government income notes	-	-	-	-	50,750	50,750
Total	7,318,699	11,775,188	3,635,778	9,594,055	8,597,884	40,921,604
Guarantees	-	15,308	660	15,550	-	31,518
Unrecognised mortgage commitments	-	4,551,681	3,642,223	-	-	8,193,904
At 31 December 2013	(5,156,793)	(6,831,093)	(5,686,635)	(6,564,226)	19,344,890	(4,893,857)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

4. FINANCIAL RISK MANAGEMENT (Continued)

(iii) Market risk

Management of market risk

Market risk is the risk that changes in market prices, such as interest rate and foreign exchange rates will affect the Group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return on risk. Overall authority for market risk is vested in ALCO. ALCO is responsible for the development of detailed risk management policies and for the day-to-day review of their implementation.

Exposure to interest rate risk

The principal risk to which financial assets and liabilities are exposed is the risk of loss from fluctuations in the future cash flows or fair values of financial instrument because of a change in market interest rates. Interest rate risk is managed principally through monitoring interest rate gaps and by having pre-approved limits for repricing bands. ALCO is the monitoring body for compliance with these limits and is assisted by Risk Management in its day-to-day monitoring activities.

The table below summarises the exposure to interest rate risks. Included in the table below are the Group's assets and liabilities at carrying amounts, categorized by the earlier of contractual repricing or maturity dates:

4. FINANCIAL RISK MANAGEMENT (Continued)
(iii) Market risk (Continued)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

31 December 2014:	Average interest rate	Due on demand KShs.'000	Due within 3 months KShs.'000	Due between 3 and 12 months KShs.'000	Due between 1 and 5 years KShs.'000	Due after 5 years KShs.'000	Total KShs.'000
Financial assets							
Cash balances	-	4,028,234	-	-	-	-	4,028,234
Placements with other banks	7.78%	5,078,103	2,519,135	-	-	-	7,597,238
Investment in Government securities	12.76%	-	264,332	-	-	-	264,332
Net loans & advances to customers	13.62%	193,595	1,671,264	3,209,974	5,580,141	34,588,565	45,243,539
Total		9,299,932	4,454,731	3,209,974	5,580,141	34,588,565	57,133,343
Financial liabilities							
Customer deposits	5.24%	9,877,724	17,184,252	3,407,895	138,110	5,497,948	36,105,929
Loans from banks	9.17%	-	272,582	510,078	5,049,680	951,270	6,783,610
Borrowed funds	16.50%	-	-	-	147,000	-	147,000
Corporate bond	10.17%	-	-	212,502	10,000,000	-	10,212,502
Government income notes	8.25%	-	-	-	-	50,750	50,750
Total		9,877,724	17,456,834	4,130,475	15,334,790	6,499,968	53,299,791
Guarantees		-	34,411	13,919	26,400	-	74,730
Unrecognised mortgage commitments		-	4,670,250	4,416,201	-	-	9,086,451
At 31 December 2014		(577,792)	(17,706,764)	(5,350,621)	(9,925,661)	28,088,598	(5,327,629)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

4. FINANCIAL RISK MANAGEMENT (Continued)

(iii) Market risk (Continued)

31 December 2013:	Average interest rate	Due on demand KShs.'000	Due within 3 months KShs. '000	Due between 3 and 12 months KShs.'000	Due between 1 and 5 years KShs.'000	Due after 5 years KShs.'000	Total KShs.'000
Financial assets							
Cash balances	-	1,719,004	-	-	-	-	1,719,004
Placements with other banks	8.23%	-	6,878,601	-	-	-	6,878,601
Investment in Government securities	12.07%	-	288,167	-	-	-	288,167
Net loans & advances to customers	14.01%	-	34,697,698	-	518,199	-	35,215,897
Equity Investments	-	151,500	-	-	-	-	151,500
Total		1,870,504	41,864,466	-	518,199	-	44,253,169
Financial liabilities							
Customer deposits	6.75%	7,322,073	11,620,454	3,017,766	71,364	4,475,547	26,507,204
Loans from banks	7.34%	-	1,189,186	1,729,758	-	884,961	3,803,905
Borrowed funds	16.50%	-	-	-	347,276	-	347,276
Corporate bond	10.17%	-	-	212,469	7,030,900	2,969,100	10,212,469
Government income notes	8.25%	-	-	-	-	50,750	50,750
Total		7,322,073	12,809,640	4,959,993	7,449,540	8,380,358	40,921,604
Guarantees		-	15,308	660	15,550	-	31,518
Unrecognised mortgage commitments		-	4,551,681	3,642,223	-	-	8,193,904
At 31 December 2013		(5,483,087)	24,487,837	(8,602,876)	(6,946,891)	(8,380,358)	(4,893,847)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

4. FINANCIAL RISK MANAGEMENT (Continued)

(iii) Market risk (Continued)

Sensitivity analysis interest rate risk

At 31 December 2014, if interest rates at that date had been 100 basis points lower with all other variables held constant, pre-tax profit for the year would have been KShs. 23.079 million (2013 – KShs. 15.433 million) lower arising mainly as a result of lower interest income and other components of equity would have been KShs. 16.155 million (2013 – KShs. 10.803 million) lower arising mainly as a result of lower interest income mortgages.

If interest rates had been 100 basis points higher, with all other variables held constant, pre-tax profits would have been KShs. 23.079 million (2013 – KShs. 15.433 million) higher, arising mainly as a result of higher interest income on mortgage lending and other components of equity would have been KShs. 16.155 million (2013 – KShs. 10.803 million) higher, arising mainly as a result of higher interest income mortgages.

Sensitivity analysis foreign currency exchange risk

The Group is exposed to currency risk to the extent that there is a mismatch between the currencies in which bank placements and borrowings are denominated and the respective functional currencies of the Group companies. The functional currency of Group is the Kenya Shillings. The Group's policy is to ensure that its net exposure is kept at an acceptable level by buying or selling foreign currencies at spot rates when necessary to address short-term imbalances.

The summary quantitative data about the Group's exposure to currency risk as reported to the management is as follows.

	2014 KShs.	2013 KShs.
USD		
Bank placements	2,009,002	33,103,344
Loans and advances	37,954,070	-
Bank loans	(45,838,000)	(33,750,000)
Net statement of financial position exposure	(5,874,928)	(646,656)
Average rate	90.5978	86.3097
Year-end spot rate	90.5311	86.2139

A reasonably possible strengthening/(weakening) of the KShs. against the USD as at 31 December 2014 would have affected the measurement of financial instruments denominated in foreign currency and affected equity and profit or loss by the amounts shown below. The analysis assumes that all other variables, in particular interest rates remain constant.

	Profit or loss		Equity	
	Strengthening	Weakening	Strengthening	Weakening
31 December 2014	KShs.	KShs.	KShs.	KShs.
USD 10% Movement	587,493	(587,493)	587,493	(587,493)
31 December 2013				
USD 10% Movement	64,666	(64,666)	64,666	(64,666)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

4. FINANCIAL RISK MANAGEMENT (Continued)

(iv) Operational risk

The Group's objective is to manage operational risk so as to balance the avoidance of financial losses and damage to the Group's reputation with overall cost effectiveness and to avoid control procedures that restrict initiative and creativity.

The primary responsibility for the development and implementation of controls to address operational risk is assigned to senior management within each business unit. The responsibility is supported by the development of overall Group standards for the management of operational risks. Compliance with Group standards is supported by a programme of periodic reviews undertaken by internal audit. The results of internal audit reviews are discussed with the management of the business unit to which they relate, with summaries submitted to the Board Audit committee and senior management of the Group.

Risk measurement and control

Interest rate, credit, liquidity, operational risk and other risks are actively managed by independent risk control groups to ensure compliance with the Group's risk limits. The Group's risk limits are assessed regularly to ensure their appropriateness given the Group's objectives and strategies and current market conditions.

(v) Capital management

The Central Bank of Kenya sets and monitors capital requirements for banks and other non-bank financial institutions. In implementing the current capital requirements Central Bank of Kenya requires the company to maintain a prescribed ratio of total risk weighted assets. This requirement is calculated for market risk in the banking portfolio of Housing Finance Company of Kenya Limited.

The regulatory capital is analysed in two tiers:

- Tier 1 capital includes ordinary share capital, share premium, perpetual bonds, retained earnings, translation reserve and minority interest after deduction of goodwill and intangible assets and other regulatory adjustments relating to items that are included in equity but are treated differently for capital adequacy purposes.
- Tier 2 capital includes qualifying subordinated liabilities, collective impairment allowances and the element of the fair value reserves relating to unrealized gains on equity instruments classified as available for sale.

The Group's policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business. The impact of the level of capital on shareholders' return is also recognised and the Group recognizes the need to maintain a balance between the higher returns that might be possible with greater gearing and the advantages and security afforded by a sound capital position.

The company and its individually regulated operations have complied with all externally imposed capital requirements throughout the year. There has been no material change in the Group's management of capital during the year.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

4. FINANCIAL RISK MANAGEMENT (Continued)

(v) Capital management (Continued)

The company's regulatory capital position as at 31 December 2014 and 31 December 2013 was as follows:

	2014 KShs.'000	2013 KShs.'000
Tier 1 capital		
Ordinary share capital	1,157,900	1,155,350
Share premium	1,557,073	1,554,523
Retained earnings	<u>2,571,035</u>	<u>1,939,458</u>
	<u>5,286,008</u>	<u>4,649,331</u>
Tier 2 capital		
Collective allowances for impairment	64,021	238,371
Revaluation reserve	112,301	112,301
Qualifying subordinated liabilities	<u>1,554,598</u>	<u>1,901,469</u>
	<u>1,730,920</u>	<u>2,252,141</u>
Total regulatory capital	<u>7,016,928</u>	<u>6,901,472</u>
Risk weighted assets	<u>43,534,183</u>	<u>28,946,161</u>
Capital ratios	2014	2013
Total regulatory capital expressed as a percentage of total risk-weighted assets	15.1%	23.80%
Total tier 1 capital expressed as a percentage of risk-weighted assets	11.1%	16.06%

Central Bank of Kenya required the Company to maintain a minimum core capital of KShs. 1 billion as at 31 December 2014.

The company is already compliant with this requirement.

5. OPERATING SEGMENTS

The Group is organised in two main reporting segments: Retail and Corporate. This is based on the Group's management and internal reporting structure. The retail segment is further split between Retail mortgages and Retail deposits while the Corporate segment is split between Schemes mortgages and Projects, and Corporate deposits.

The following summary describes the operations of each Group's reportable segment;

- **Retail loans:** This segment is mainly responsible for sourcing residential mortgages for individual owner occupiers and it forms the major proportion of the mortgage lending of the Group.
- **Retail deposits:** This segment plays a critical role in the operations of the Group sourcing for deposits from retail customers which are then used to finance the Group's mortgage products.
- **Schemes loans:** This segment is mainly responsible for arranging corporate mortgage packages with employers such that the employees of the participating companies can enjoy preferential interest rates on their mortgage loans.
- **Projects:** This segment provides lending to property developers for construction. This includes construction of residential houses for sale, construction of office blocks, schools, hospitals and other related infrastructure.
- **Corporate deposits:** This segment is responsible for sourcing for deposits from corporate organisations.

Information regarding the results of each reportable segment is included below. Performance is measured based on segment profit before income tax, as included in the internal management reports that are reviewed by the Group's EXCO.

Segment profit is used to measure performance as management believes that such information is the most relevant in evaluating the results of each.

5. OPERATING SEGMENTS (Continued)

		Loan Lending				Total
		Retail		Corporate		
	2014	2013	2014	2013	2014	2013
External revenues	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Interest income	3,753,936	3,133,568	2,620,846	2,306,491	6,374,228	5,440,059
Interest expense:						
- Retail	(1,635,671)	(1,488,663)	-	-	(1,635,671)	(1,488,663)
- Corporate	-	-	(1,720,543)	(1,398,389)	(1,720,543)	(1,398,389)
Net interest income	2,117,711	1,644,905	900,303	908,102	3,018,014	2,553,007
Non interest income	356,111	222,378	155,704	81,941	511,815	304,319
Reporting segment profit/(loss) before income tax	1,220,847	851,340	45,705	362,089	1,266,552	1,213,429
Loan disbursements	9,216,659	6,687,674	8,734,503	5,379,866	17,951,162	12,067,540
Loan sales	12,069,389	7,612,454	11,437,997	8,119,181	23,507,386	15,731,635
Deposits balances	28,169,358	11,743,599	7,749,519	14,845,251	35,918,877	26,588,850
Other material non cash items						
Impairment losses on loans	(291,941)	(206,189)	(259,278)	(74,704)	(551,219)	(280,893)
Capital expenditure	165,499	307,416	156,841	388,609	322,340	696,025
Reportable segment assets	33,172,445	24,074,531	27,298,997	22,680,580	60,471,442	46,755,111
Reportable segment liabilities	36,866,911	19,238,424	17,347,888	21,885,584	54,214,799	41,124,008

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

5. OPERATING SEGMENTS (Continued)

Reconciliations of reportable segment revenues, profit or loss, assets and liabilities

	2014 KShs.'000	2013 KShs.'000
Net interest income		
Total net interest income for reportable segments	3,018,014	2,553,007
Other interest income adjustments	15,965	300
Consolidated net interest income	3,033,979	2,553,377
Non interest income		
Total non interest income for reportable segments	511,815	304,319
Other non interest income	330,880	1,064,051
Consolidated non interest income	842,695	1,368,370
Profit or loss		
Total profit or loss for reportable segments	1,266,552	1,213,429
Other profit or loss	134,101	266,927
Consolidated profit before income tax	1,400,653	1,480,356
Assets		
Total assets for reportable segments	60,471,442	46,755,111
Other assets	490,238	634,266
Consolidated total assets	60,961,680	47,389,377
Liabilities		
Total liabilities for reportable segments	54,214,799	41,124,008
Other liabilities	187,999	405,862
Consolidated total liabilities	54,402,798	41,529,870

6. CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including experience of future events that are believed to be reasonable under the circumstances.

(a) Critical accounting estimates and assumptions

(i) Allowances for credit losses

Assets accounted for at amortised cost are evaluated for impairment on a basis described in accounting policy 3(j).

The specific counterparty component of the total allowances for impairment applies to financial assets evaluated individually for impairment and is based upon management's best estimate of the present value of the cash flows that are expected to be received. In estimating these cash flows, management makes judgements about counterparty's financial situation and the net realisable value of any underlying collateral. Each impaired asset is assessed on its

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

6. CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS (Continued)

(a) Critical accounting estimates and assumptions (Continued)

(i) Allowances for credit losses (Continued)

merits, and the workout strategy and estimate of cash flows considered recoverable are independently approved by the Credit Risk function.

Collectively assessed impairment allowances cover credit losses inherent in portfolios of loans and advances and held-to-maturity investment securities with similar credit risk characteristics when there is objective evidence to suggest that they contain impaired loans and advances and held-to-maturity investment securities, but the individual impaired items cannot yet be identified. In assessing the need for collective loss allowances, management considers factors such as credit quality, portfolio size, concentrations and economic factors. In order to estimate the required allowance, assumptions are made to define the way inherent losses are modelled and to determine the required input parameters, based on historical experience and current economic conditions.

(ii) Income taxes

The Group is subject to income taxes in Kenya. Significant judgment is required in determining the Group's provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. The Group recognises liabilities for anticipated tax audit issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

(b) Critical judgements in applying the entity's accounting policies

In the process of applying the Group's accounting policies, management has made assumptions, estimations and judgements in determining:

- The classification of joint arrangements;
- The classification of financial assets;
- Lease classifications;
- Whether assets are impaired, recognition and measurement of provisions; and
- Depreciation rates for property and equipment.

7. INTEREST INCOME AND INTEREST EXPENSE

	2014 KShs.'000	2013 KShs.'000
Interest income		
Arising from:		
Advances to customers	5,814,833	4,888,272
Placements with other banks	523,935	505,251
Treasury bonds	36,014	46,536
	6,374,782	5,440,059

Included in interest income on mortgage advances for the year is a total of KShs. 590,695,957 (2013 – KShs. 411,995,347) accrued on impaired assets. Interest income on treasury bonds relates to investment securities that are available for sale.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

7. INTEREST INCOME AND INTEREST EXPENSE (Continued)

	2014 KShs.'000	2013 KShs.'000
Interest expense		
<i>Arising from:</i>		
Customer deposits	1,867,321	1,598,378
Interest on borrowed funds	<u>1,473,482</u>	<u>1,288,304</u>
	<u>3,340,803</u>	<u>2,886,682</u>

8. NON INTEREST INCOME

	2014 KShs.'000	2013 KShs.'000
<i>Arising from:</i>		
Fees and commission income	367,038	245,940
Rental income	96,301	40,901
House sales income	219,711	1,021,644
Other operating income	105,433	58,189
Gain on sale of property and equipment	<u>54,212</u>	<u>1,696</u>
	<u>842,695</u>	<u>1,368,370</u>

9. NON INTEREST EXPENSES

<i>Arising from:</i>		
Salaries and employee benefits	974,712	803,850
Rental expenses	34,359	23,946
Deposit Protection Fund	45,320	37,281
Cost of sold houses	157,190	793,753
General administration expenses	<u>694,970</u>	<u>501,668</u>
	<u>1,906,551</u>	<u>2,160,498</u>
The following items are included with salaries and employee benefits:		
Compulsory social welfare contributions	1,138	818
Contributions to the defined contribution retirement scheme	<u>57,060</u>	<u>53,833</u>

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

10. PROFIT BEFORE TAXATION

	2014 KShs.'000	2013 KShs.'000
The profit before taxation is arrived at after charging/ (crediting):		
Directors' remuneration:		
- Fees	4,595	2,435
- Expenses	9,667	9,039
- As executives	81,015	59,009
Auditor's remuneration	9,850	9,440
Amortisation of prepaid operating lease rentals	647	644
Amortisation of intangible assets	12,710	10,397
Depreciation	77,198	68,700
Gain on sale of property and equipment	<u>(54,212)</u>	<u>(1,696)</u>

11. TAXATION

(a) Income tax expense

Current tax at 30% - Current year	576,027	525,801
- Prior year	<u>-</u>	<u>-</u>
	<u>576,027</u>	<u>525,801</u>
Deferred tax (Note 27(a)) - Current year	(150,710)	(40,320)
- Prior year	<u>-</u>	<u>(321)</u>
	<u>(150,710)</u>	<u>(40,641)</u>
	<u>425,317</u>	<u>485,160</u>

The tax on the Group's profit before tax differs from the theoretical amount using the basic tax rate as follows:

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

11. TAXATION (Continued)

(a) Income tax expense (Continued)

	2014 KShs'000	2013 KShs'000
Accounting profit before taxation	<u>1,400,653</u>	<u>1,480,356</u>
Tax at the applicable corporation tax rate of 30%	420,196	444,107
Tax effect of non-deductible costs	46,366	41,374
Tax effect of non-deductible income	(41,245)	-
Deferred tax asset derecognised	-	4
Deferred tax asset previously unrecognized	-	(325)
	<u>425,317</u>	<u>485,160</u>

(b) Taxation recoverable/(payable)

	31.12.2014 Shs'000	Group 31.12.2013 Shs'000	31.12.2014 Shs'000	Company 31.12.2013 Shs'000
At 1 January	(71,471)	69,156	(68,845)	46,773
Paid during the period/year	661,758	385,174	619,420	384,146
Charge for the period/year	(576,027)	(525,801)	(546,260)	(499,764)
At 31 December	<u>14,260</u>	<u>(71,471)</u>	<u>4,315</u>	<u>(68,845)</u>

The following amounts are shown in the balance sheet:

Taxation recoverable	<u>14,260</u>	<u>-</u>	<u>4,315</u>	<u>-</u>
Taxation payable	<u>-</u>	<u>(71,471)</u>	<u>-</u>	<u>(68,845)</u>

12. EARNINGS PER SHARE

Basic

Earnings per share is calculated based on the profit attributable to shareholders divided by the number of ordinary shares in issue in each year as follows:

	2014 KShs.'000	2013 KShs.'000
Net profit for the year attributable to shareholders	<u>975,336</u>	<u>995,196</u>
Number of ordinary shares in issue (000's)	<u>231,580</u>	<u>231,070</u>
Weighted average number of ordinary shares	<u>231,580</u>	<u>230,929</u>
Annualised earnings per share	<u>4.21</u>	<u>4.30</u>
Diluted earnings per share	<u>4.21</u>	<u>4.30</u>

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

13. DIVIDEND PER SHARE

Proposed dividends are accounted for as a separate component of equity until they have been ratified at an annual general meeting. A final dividend in respect of the year ended 31 December 2014 of KShs. 0.75 per share (2013 - KShs. 1.00) amounting to a total of KShs. 173,685,000 (2013 - KShs. 231,070,000) has been proposed. During the year an interim dividend of KShs. 0.75 per share (2013 - KShs. 0.75), amounting to a total of KShs. 173,468,000 was paid. The total dividend for the year is therefore KShs. 1.50 per share (2013 - KShs. 1.75), amounting to a total of KShs. 347,153,000 (2013 - KShs. 404,301,000). Issued and fully paid ordinary shares were 231,580,000 as at 31 December 2014 (2013 - KShs. 231,070,000).

14. FINANCIAL ASSETS AND LIABILITIES

The table below sets out the Group's classification of each class of financial assets and liabilities and their fair values including accrued interest:

(a) Group

	Held-to-maturity KShs.'000	Loans and advances KShs.'000	Other amortised cost KShs.'000	Fair value KShs.'000
31 December 2014:				
Financial Assets				
Cash and cash equivalents	-	-	4,028,234	4,028,234
Placements with banks	-	-	7,597,238	7,597,238
Investment in government securities	-	-	-	264,332
Loans & advances	-	45,243,539	-	45,243,539
	<u>-</u>	<u>45,243,539</u>	<u>11,625,472</u>	<u>57,133,343</u>
Financial Liabilities				
Customer deposits	-	-	36,105,929	36,105,929
Corporate bond	-	-	10,212,502	10,212,502
Borrowed funds	-	-	147,000	147,000
Loans from banks	-	-	6,783,610	6,783,610
	<u>-</u>	<u>-</u>	<u>53,249,041</u>	<u>53,249,041</u>

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

14. FINANCIAL ASSETS AND LIABILITIES (Continued)

(a) Group (Continued)

	Held-to-maturity KShs.'000	Loans and advances KShs.'000	Other amortised cost KShs.'000	Fair value KShs.'000
31 December 2013:				
Financial Assets				
Cash and cash equivalents	-	-	1,719,004	1,719,004
Placements with banks	-	-	6,878,601	6,878,601
Investment in government securities	-	-	-	288,167
Equity investments	-	-	-	151,500
Loans & advances	-	35,215,897	-	35,215,897
	-	35,215,897	8,597,605	44,253,169
Financial Liabilities				
Customer deposits	-	-	26,507,204	26,507,204
Corporate bond	-	-	10,212,469	10,212,469
Borrowed funds	-	-	347,276	347,276
Loans from banks	-	-	3,803,905	3,803,905
	-	-	40,870,854	40,870,854

(b) Company

	Held-to-Loans and maturity KShs.'000	Other advances KShs.'000	Amortised cost KShs.'000	Fair value KShs.'000
31 December 2014:				
Financial Assets				
Cash and cash equivalents	-	-	4,028,221	4,028,221
Placements with banks	-	-	7,597,238	7,597,238
Investment in government securities	-	-	-	264,332
Loans & advances	-	45,243,539	-	45,243,539
	-	45,243,539	11,625,459	57,133,330
Financial Liabilities				
Customer deposits	-	-	36,310,472	36,310,472
Corporate bond	-	-	10,212,502	10,212,502
Loans from banks	-	-	6,783,610	6,783,610
	-	-	53,306,584	53,306,584

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

14. FINANCIAL ASSETS AND LIABILITIES (Continued)

(b) Company (Continued)

	Held-to-Loans and maturity KShs.'000	Other advances KShs.'000	Amortised cost KShs.'000	Fair value KShs.'000
31 December 2013:				
Financial Assets				
Cash and cash equivalents	-	-	1,718,991	1,718,991
Placements with banks	-	-	6,878,601	6,878,601
Investment in government securities	-	-	-	288,167
Equity investments	-	-	-	151,500
Loans & advances	-	35,215,897	-	35,215,897
	-	35,215,897	8,597,592	44,253,156
Financial Liabilities				
Customer deposits	-	-	26,588,851	26,588,851
Corporate bond	-	-	10,212,469	10,212,469
Loans from banks	-	-	3,803,905	3,803,905
	-	-	40,605,225	40,605,225

The fair value of treasury bonds is based on the indicative price of the specific issues as at the reporting date. The indicative prices are derived from trading at the Nairobi Securities Exchange. For Treasury bills, placements with other banks, cash and cash equivalents and deposits the amortised cost is deemed a reasonable approximation of fair value because of their short term nature.

The fair value of mortgage advances has not been disclosed as this cannot be determined reliably.

(c) Valuation hierarchy

The valuation hierarchy, and types of instruments classified into each level within that hierarchy, is set out below:

	Level 1	Level 2	Level 3
Fair value determined using:	Unadjusted quoted prices in an active market for identical assets and liabilities	Valuation models with directly or indirectly market observable inputs	Valuation models using significant non-market observable inputs
Types of financial assets:	Actively traded government and other securities	Corporate and other government bonds and loans	Corporate bonds in illiquid markets
	Listed derivative instruments	Over-the-counter(OTC) derivatives	Highly structured OTC derivatives with unobservable parameters
	Listed equities		
Types of financial liabilities:	Listed derivative instruments	Over-the-counter(OTC) derivatives	Highly structured OTC derivatives with unobservable parameters

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

14. FINANCIAL ASSETS AND LIABILITIES (Continued)

(c) Valuation hierarchy (Continued)

The table below shows the classification of financial instruments held at fair value by the level in the fair value hierarchy as at 31 December 2014:

Group	Level 1 KShs.'000	Level 2 KShs.'000	Level 3 KShs.'000	Total KShs.'000
31 December 2014:				
Financial Assets				
Investment in government securities	-	264,332	-	264,332
Loans & advances	-	-	45,243,539	45,243,539
	-	264,332	45,243,539	45,507,871
Financial Liabilities				
Customer deposits	-	-	36,105,929	36,105,929
Corporate bond	-	10,212,502	-	10,212,502
Borrowed funds	-	291,612	-	291,612
Loans from banks	-	-	6,783,610	6,783,610
	-	10,504,144	42,889,539	53,393,653
31 December 2013:				
Financial Assets				
Investment in government securities	-	288,167	-	288,167
Equity investments	151,500	-	-	151,500
Loans & advances	-	-	35,215,897	35,215,897
	151,500	288,167	35,215,897	35,655,564
Financial Liabilities				
Customer deposits	-	-	26,507,204	26,507,204
Corporate bond	-	10,212,469	-	10,212,469
Borrowed funds	-	-	347,276	347,276
Loans from banks	-	-	3,803,905	3,803,905
	-	10,212,469	30,658,385	40,870,854

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

14. FINANCIAL ASSETS AND LIABILITIES (Continued)

(c) Valuation hierarchy (Continued)

Company	Level 1 KShs.'000	Level 2 KShs.'000	Level 3 KShs.'000	Total KShs.'000
31 December 2014:				
Financial Assets				
Investment in government securities	-	264,332	-	264,332
Loans & advances	-	-	45,243,539	45,243,539
	-	264,332	45,243,539	45,507,871
Financial Liabilities				
Customer deposits	-	-	36,310,472	36,310,472
Corporate bond	-	10,212,469	-	10,212,502
Loans from banks	-	-	6,783,610	6,783,610
	-	10,212,469	43,094,082	53,306,584
31 December 2013:				
Financial Assets				
Investment in government securities	-	288,167	-	288,167
Equity investments	151,500	-	-	151,500
Loans & advances	-	35,215,897	35,215,897	35,215,897
	151,500	35,504,064	35,215,897	35,655,564
Financial Liabilities				
Customer deposits	-	-	26,588,851	26,588,851
Corporate bond	-	10,212,469	-	10,212,469
Loans from banks	-	-	3,803,905	3,803,905
	-	10,212,469	30,392,756	40,605,225

15. CASH AND BALANCES WITH BANKS

	2014		2013	
	Group KShs.'000	Company KShs.'000	Group KShs.'000	Company KShs.'000
Cash at hand	285,753	285,753	142,103	142,103
Balances with commercial banks	986,283	986,270	(29,084)	(29,097)
Balances with Central Bank of Kenya:				
- Unrestricted	1,696,890	1,696,890	808,319	808,319
- Restricted (Cash Reserve Ratio)	1,059,308	1,059,308	797,666	797,666
	4,028,234	4,028,221	1,719,004	1,718,991

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

15. CASH AND BALANCES WITH BANKS (Continued)

The Cash Reserve Ratio (CRR) is non-interest earning and is based on the value of deposits as adjusted for the Central Bank of Kenya requirements. At 31 December 2014, the Cash Reserve Ratio was 5.25% (2013 – 5.25%) of all deposits. These funds are now available for use by the company in its day-to-day operations in a limited way provided that on any given day this balance does not fall below 3.00% requirement and provided that the overall average in the month is at least 5.25%.

16. PLACEMENTS WITH OTHER BANKS

Group and Company:	2014 KShs.'000	2013 KShs.'000
Placements with commercial banks	<u>7,597,238</u>	<u>6,878,601</u>

17. INVESTMENT IN GOVERNMENT SECURITIES

Group and Company:	2014 KShs.'000	2013 KShs.'000
Held to maturity		
Treasury bonds due after 180 days	-	-
Available-for-sale		
Treasury bonds classified as available-for-sale	<u>264,332</u>	<u>288,167</u>
	<u>264,332</u>	<u>288,167</u>

The weighted average effective interest rate on government securities as at 31 December 2014 was 12.76% (2013 – 12.07%).

18. LOANS & ADVANCES TO CUSTOMERS

Group and Company:	2014 KShs.'000	2013 KShs.'000
(a) Loans & advances at amortised cost		
Loans	46,710,829	36,162,121
Less: Provision for impairment losses (Note 18(b))	<u>(1,467,290)</u>	<u>(946,224)</u>
	<u>45,243,539</u>	<u>35,215,897</u>
Maturing:		
Within five years	8,881,543	6,485,767
Over five years to ten years	9,061,239	5,809,544
Over ten years to fifteen years	17,482,817	14,516,630
Over fifteen years	<u>9,817,940</u>	<u>8,403,956</u>
	<u>45,243,539</u>	<u>35,215,897</u>

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

18. LOANS & ADVANCES TO CUSTOMERS (Continued)

	Impairment losses KShs.'000	Portfolio impairment KShs.'000	Total KShs.'000
(b) Reserve for impairment losses			
At 1 January 2013	648,261	76,650	724,911
Impairment made in the year	487,025	(9,075)	477,950
Provisions no longer required	(170,893)	-	(170,893)
Written off against balance	(85,744)	-	(85,744)
At 31 December 2013	878,649	67,575	946,224
Impairment made in the year	806,509	9,889	816,398
Provisions no longer required	(265,179)	-	(265,179)
Written off against balance	(30,151)	-	(30,152)
At 31 December 2014	1,389,826	77,464	1,467,291
(c) Impairment losses			
2014			
Impairment made in the year	806,509	9,889	816,398
Provisions no longer required	(265,179)	-	(265,179)
At 31 December 2014	541,330	9,889	551,219
2013			
Impairment made in the year	487,025	(9,075)	477,950
Provisions no longer required	(197,057)	-	(197,057)
At 31 December 2013	289,968	(9,075)	280,893

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

18. LOANS & ADVANCES TO CUSTOMERS (Continued)

(d) Loans & Advances

Included in the loan balance is interest yet to be received in cash from loan advances classified as impaired mortgages as shown below:

	2014 KShs.'000	2013 KShs.'000
Interest on impaired loans which has not yet been received in cash	<u>202,459</u>	<u>191,030</u>

The weighted average effective interest rate on loan advances to customers as at 31 December 2014 was 13.62% (2013 – 14.01%).

19. INVESTMENT IN SUBSIDIARIES AND JOINT VENTURE

	Shareholding	2014 KShs.'000	2013 KShs.'000
Subsidiaries			
Kenya Building Society Limited	100%	250,000	250,000
First Permanent (East Africa) Limited	100%	5,020	5,020
Housing Finance Insurance Agency Limited	100%	<u>100</u>	<u>100</u>
		<u>255,120</u>	<u>255,120</u>
Joint venture			
Precious Height Limited	50%	86,700	86,700
Kahawa Downs Limited	50%	<u>104,100</u>	<u>104,100</u>
		<u>190,800</u>	<u>190,800</u>
Group share of loss in Joint Venture			
Precious Height Limited	50%	(8,464)	-
Kahawa Downs Limited	50%	<u>(9,787)</u>	<u>-</u>
		<u>(18,251)</u>	<u>-</u>
Net Investment in Joint Venture		<u>172,549</u>	<u>190,800</u>

In 2013, the Group entered into a joint venture in the name of Kahawa Downs Limited with a land owner for development of housing units (apartments) in Kahawa Wendani, Nairobi. The entity is jointly controlled with each party holding 50% of the shareholding. Housing Finance contributed capital which is equivalent to value of the land where the housing units will be developed. Kahawa Downs Limited is structured as a separate vehicle and the Group has a residual interest in its net assets. Accordingly, the Group has classified its interest in Kahawa Downs as a joint venture, which is equity accounted.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

19. INVESTMENT IN SUBSIDIARIES AND JOINT VENTURE (Continued)

In 2012, the Group entered into a joint venture in the name of Precious Heights Limited with a land owner for development of housing units (apartments) in Riruta, Nairobi. The entity is jointly controlled with each party holding 50% of the shareholding. Housing Finance contributed capital which is equivalent to value of the land where the housing units will be developed. Precious Heights Limited is structured as a separate vehicle and the Group has a residual interest in its net assets. Accordingly, the Group has classified its interest in Precious Height as a joint venture, which is equity accounted.

The following are summarized financial information for Kahawa Downs Limited and Precious Heights Limited, based on its financial statements prepared in accordance with IFRS.

	2014		2013	
	KDL KShs.'000	PHL KShs.'000	KDL KShs.'000	PHL KShs.'000
Operating costs	19,574	16,928	-	-
Income tax expense	-	-	-	-
Profit and other comprehensive income	19,574	16,928	-	-
Group share of net loss (50%)	9,787	8,464	-	-
Current assets	578,733	737,818	280,248	366,931
Current liabilities	(390,107)	(581,346)	(72,048)	(193,531)
Net assets	188,626	156,472	208,200	173,400
Groups share of net assets (50%)	94,313	78,236	104,100	86,700
Group's interest in net assets of the investees at the beginning of the year	104,100	86,700	104,100	86,700
Share of total comprehensive income	(9,787)	(8,464)	-	-
Carrying amount of interest in investee at end of the year	94,313	78,236	104,100	86,700

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

20. OTHER ASSETS

	2014		2013	
	Group KShs.'000	Company KShs.'000	Group KShs.'000	Company KShs.'000
Staff debtors	124,545	124,545	78,507	78,507
Prepayments	265,516	265,516	223,338	223,338
Deposits and rent receivable	15,996	15,996	8,389	8,389
House sales debtors	384,255	-	742,350	-
Other receivables	241,010	230,976	73,589	56,980
	1,031,322	637,033	1,126,173	367,214

Included in staff debtors are staff car loans of KShs. 25,305,257 (2013 – KShs. 17,111,361) and staff personal loans of KShs. 99,566,600 (2013 – KShs. 60,600,843).

21. EQUITY INVESTMENTS

Group and Company:	2014 KShs.'000	2013 KShs.'000
Equity investments		
At 1 January	151,500	60,000
Disposal	(151,500)	-
Change in fair value during the year	-	91,500
Available for sale investments	-	151,500

In 2011, the company participated in the British American Initial Public Offer and bought 10 million shares at price of KShs. 9 per share. Total cost for the shares amounted to KShs. 90m. The shares are listed in the Nairobi Securities Exchange. The shares were disposed of during the year resulting in a gain of KShs. 83,259,426.

22. HOUSING DEVELOPMENT PROJECTS

Group:	2014 KShs.'000	2013 KShs.'000
Housing projects		
Komarock Housing Projects	314,347	117,822

There were no commitments in respect of these projects authorized in 2014 (2013 Nil).

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

23. PROPERTY AND EQUIPMENT

(a) Group

	Freehold land KShs.'000	Buildings KShs.'000	Furniture, fixtures, equipments & motor vehicles KShs.'000	Work in progress KShs.'000	Total KShs.'000
2014:					
Cost or valuation:					
At 1 January 2014	7,000	475,596	361,826	272,418	1,116,840
Additions	-	6,805	9,641	177,210	193,656
Revaluation	45,000	181,161	-	-	226,161
Disposals	-	(8,597)	(220)	-	(8,817)
Transfers	-	-	187,675	(187,675)	-
At 31 December 2014	52,000	654,965	558,922	261,953	1,527,840
Comprising:					
At cost	-	20,651	371,247	449,628	841,526
At valuation	52,000	634,314	-	-	686,314
	52,000	654,965	371,247	449,628	1,527,840
Depreciation:					
At 1 January 2014	-	30,967	140,358	-	171,325
Charge for the year	-	7,065	70,133	-	77,198
Disposals	-	(2,820)	(115)	-	(2,935)
At 31 December 2014	-	35,212	210,376	-	245,588
Net book value: At 31 December 2014	52,000	619,753	160,871	449,628	1,282,252

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

23. PROPERTY AND EQUIPMENT (Continued)

(a) Group (Continued)

	Freehold land KShs.'000	Buildings KShs.'000	Furniture, fixtures, equipment & motor vehicles KShs.'000	Work in progress KShs.'000	Total KShs.'000
2013:					
Cost or valuation:					
At 1 January 2013	7,000	475,596	260,703	80,155	823,454
Additions	-	-	107,573	192,263	299,836
-	-	-	-	-	-
Disposals	-	-	(6,450)	-	(6,450)
At 31 December 2013	7,000	475,596	361,826	272,418	1,116,840
Comprising:					
At cost	-	20,651	361,826	272,418	654,895
At valuation	7,000	454,945	-	-	461,945
	7,000	475,596	361,826	272,418	1,116,840
Depreciation:					
At 1 January 2013	-	23,837	82,909	-	106,746
Charge for the year	-	7,130	61,570	-	68,700
Disposals	-	-	(4,121)	-	(4,121)
At 31 December 2013	-	30,967	140,358	-	171,325
Net book value:					
At 31 December 2013	7,000	444,629	221,468	272,418	945,515

The Group's furniture, fittings, equipment and motor vehicles were professionally valued by an independent valuer on 1 June 2011 while land and buildings were professionally valued by an independent valuer on an open market basis on 31 December 2014. The resulting surplus was credited to revaluation reserve.

The net book value (NBV) of properties at their historical cost is as follows:

	2014 KShs.'000	2013 KShs.'000
Freehold land	206	206
Buildings	16,411	22,598

Included in equipment are assets with a gross value of KShs. 45,884,804 (2013 – KShs. 7,369,304) which are fully depreciated and still in use. Such assets would have attracted a notional depreciation of KShs. 8,154,925 (2013 – KShs. 955,613).

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

23. PROPERTY AND EQUIPMENT (Continued)

(b) Company

	Freehold land KShs'000	Buildings KShs'000	Furniture, fixtures, equipment & motor vehicles KShs'000	Work in progress KShs'000	Total KShs'000
2014:					
Cost or valuation:					
At 1 January 2014	7,000	467,000	356,223	272,418	1,102,641
Additions	-	6,805	9,641	177,210	193,656
Revaluation	45,000	181,161	-	-	226,161
Disposals	-	-	(220)	-	(220)
Transfers	-	-	187,675	(187,675)	-
At 31 December 2014	52,000	654,966	553,319	261,953	1,522,238
Comprising:					
At cost	-	60,860	553,319	261,953	876,132
At valuation	52,000	594,106	-	-	646,106
	52,000	654,966	553,319	261,953	1,522,238
Depreciation:					
At 1 January 2014	-	28,224	134,973	-	163,197
Charge for the year	-	7,065	70,009	-	77,074
Disposals	-	-	(115)	-	(115)
At 31 December 2014	-	35,289	204,867	-	240,157
Net book value: At 31 December 2014	52,000	619,677	348,451	261,953	1,282,081

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

23. PROPERTY AND EQUIPMENT (Continued)

(b) Company (Continued)

	Freehold land KShs'000	Buildings KShs'000	Furniture, fixtures, equipment & motor vehicles KShs'000	Work in progress KShs'000	Total KShs'000
2013:					
Cost or valuation:					
At 1 January 2013	7,000	467,000	255,321	80,155	809,476
Additions	-	-	107,352	192,263	299,615
Disposals	-	-	(6,450)	-	(6,450)
At 31 December 2013	7,000	467,000	356,223	272,418	1,102,641
Comprising:					
At cost	-	54,055	-	272,418	326,473
At valuation	7,000	412,945	356,223	-	776,168
	7,000	467,000	356,223	272,418	1,102,641
Depreciation:					
At 1 January 2013	-	21,168	77,541	-	98,709
Charge for the year	-	7,056	61,553	-	68,609
Disposals	-	-	(4,121)	-	(4,121)
At 31 December 2013	-	28,224	134,973	-	163,197
Net book value: At 31 December 2013	7,000	438,776	221,250	272,418	939,444

The Company's furniture, fittings, equipment and motor vehicles were professionally valued by an independent valuer on 1 June 2011 while land and buildings were professionally valued by an independent valuer on an open market basis on 31 December 2014. The resulting surplus was credited to revaluation reserve.

The net book value (NBV) of properties at their historical cost is as follows:

	2014 KShs.'000	2013 KShs.'000
Freehold land	206	206
Buildings	16,411	22,598

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

24. PREPAID OPERATING LEASE RENTALS

	2014		2013	
	Group KShs.'000	Company KShs.'000	Group KShs.'000	Company KShs.'000
Cost:				
At 1 January	54,612	45,706	54,612	45,706
At 31 December	54,612	45,706	54,612	45,706
Amortisation:				
At 1 January	7,927	5,380	7,283	4,919
Charge for the year	647	466	644	461
	8,574	5,846	7,927	5,380
At 31 December	46,038	39,860	46,685	40,326

As at 31 December 2014 the un-expired lease period ranges from 68 to 87 years. Leasehold land is recognised at cost. The company leasehold land was valued professionally on 31 December 2009 at KShs. 225,000,000.

25. INTANGIBLE ASSETS

	2014		2013	
	Group KShs.'000	Company KShs.'000	Group KShs.'000	Company KShs.'000
Cost:				
At January	535,628	535,556	139,218	139,146
Additions during the year	137,889	137,889	396,410	396,410
	673,517	673,445	535,628	535,556
Amortisation:				
At January	139,693	139,621	129,296	129,223
Amortisation during the year	12,710	12,710	10,397	10,398
As at 31 December	152,403	152,331	139,693	139,621
Net book value: As at 31 December	521,114	521,114	395,935	395,935

Included in the Net book value above, is work in progress relating to the new core banking system project amounting to KShs. 498,765,949.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

26. DEFERRED TAX ASSETS

Recognised deferred tax assets and liabilities are attributable to the following:

(a) Group

	01.01.2014 KShs.'000	Prior year under provision KShs.'000	Recognised in income KShs.'000	Recognised in other comprehensive income KShs.'000	31.12.2014 KShs.'000
2014:					
Arising from:					
Plant and equipment	1,140	324	(3,431)	-	(1,967)
Revaluation surplus	-	-	-	(36,924)	(36,924)
Fair value reserves	-	-	-	19,391	19,391
Other general provisions	21,806	-	9,164	-	30,970
Unrealised exchange losses	6,055	-	(11,257)	-	(5,202)
Tax losses carried forward	-				
General provision on mortgages	284,277	(324)	156,234	-	440,187
Net deferred tax	313,278	-	150,710	(17,533)	446,455
2013:					
Arising from:					
Plant and equipment	(4,214)	-	5,358	-	1,144
Other general provisions	5,570	-	16,236	-	21,806
Unrealised exchange losses	1,489	-	4,566	-	6,055
Tax losses carried forward	52,319	-	(52,319)	-	-
General provision on mortgages	217,473	321	66,479	-	284,273
Net deferred tax	272,637	321	40,320	-	313,278

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

26. DEFERRED TAX ASSETS (Continued)

(b) Company

	At 01.01.2014 KShs.'000	Prior year under provision KShs.'000	Recognised in income KShs.'000	Recognised in other comprehensive income KShs.'000	At 31.12.2014 KShs.'000
2014:					
Arising from:					
Plant and equipment	1,089	324	(3,431)	-	(2,018)
Revaluation surplus	-	-	-	(36,924)	(36,924)
Fair value reserves	-	-	-	19,391	19,391
Other general provisions	21,695	-	8,302	-	29,997
Unrealised exchange losses	6,055	-	(11,257)	-	(5,202)
General provision on mortgages	284,277	(324)	156,234	-	440,187
Net deferred tax	313,116	-	149,848	(17,533)	445,431
2013:					
Arising from:					
Plant and equipment	(4,282)	-	5,371	-	1,089
Other general provisions	5,513	-	16,182	-	21,695
Unrealised exchange losses	1,489	-	4,566	-	6,055
General provision on mortgages	217,473	325	66,479	-	284,277
Net deferred tax	220,193	325	92,598	-	313,116

27. EMPLOYEE BENEFITS

Employee Share Ownership Plan (ESOP)

Movement in the number of share options held for the employees under the Employee Share Ownership Plan is as follows:

	2014 Number of shares	2013 Number of shares
Outstanding at start of year	640,000	625,000
Granted during the year	685,000	785,000
Lapsed	(360,000)	(300,000)
Exercised	(510,000)	(470,000)
Outstanding at end of year	455,000	640,000
Exercise price per share – KShs.	10.00	10.00

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

27. EMPLOYEE BENEFITS (Continued)

Options may be exercised at the price of KShs. 10. The trading price of Housing Finance Company of Kenya Limited share as at 31 December 2014 on the Nairobi Securities Exchange was KShs. 45.75 (2013- KShs. 31.50). All 455,000 (2013 – 640,000) outstanding shares were exercisable as at 31 December 2014.

Background of Employee Share Ownership Plan

On 26 July 2006, the shareholders gave approval for an Employee Share Ownership Plan (ESOP) to be set up to facilitate the ownership of shares in Housing Finance Company of Kenya Limited by employees of the company. Approval to issue additional shares, listing of shares and allotment to the Employee Share Ownership Plan (ESOP) was approved by Capital Market Authority on 20 December 2010.

The total number of shares approved under the ESOP amount to 5,750,000. The ESOP is for Company employees (excluding non executive board Directors) who have attained the age of 18 years, have completed the probationary period and have been confirmed as employees of the Company in accordance with their contract of employment. However, the right to exercise an Option shall terminate immediately upon the Option holder ceasing to be an eligible employee, unless the holder of an unexercised Option dies before exercising a subsisting Option, where the Option may be exercised by his personal representatives within 12 months of the date of death. The eligible employees pay for the units by cash at a price determined by Trustees either in full or by instalments until price is paid in full. The Unit holder is not allowed to sell, transfer or otherwise dispose of Units registered in his name to another Unit holder or to any third party whatsoever. The administrative offices of the ESOP – Unit Trust are the Principal Offices of the Company.

28. CUSTOMERS' DEPOSITS

	2014		2013	
	Group KShs.'000	Company KShs.'000	Group KShs.'000	Company KShs.'000
Government and parastals:				
Payable within 90 days	488,003	488,003	1,408,242	1,408,242
Payable after 90 days and				
within one year	655,661	655,661	313,183	313,183
Payable after one year	2,814,132	2,814,132	2,025,327	2,025,327
Private sector and individuals:				
Payable within 90 days	29,257,790	29,462,333	17,534,284	17,615,930
Payable after 90 days and				
within one year	2,752,233	2,752,233	2,704,583	2,704,583
Payable after one year	138,110	138,110	2,521,585	2,521,586
	36,105,929	36,310,472	26,507,204	26,588,851

Included in customers' deposits is KShs. 141,000,630 (2013 – KShs. 44,029,486) due to a subsidiary, Kenya Building Society Limited, KShs. 17,612,594 (2013 – 1,707,155) due to a subsidiary, First Permanent (East Africa) Limited and KShs. 45,930,078 (2013- KShs. 35,808,730) due to a subsidiary, Housing Finance Insurance Agency Limited.

The weighted average effective interest rate on customer deposits as at 31 December 2014 was 5.24% (2013 – 6.75%).

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

29. OTHER LIABILITIES

	2014		2013	
	Group KShs.'000	Company KShs.'000	Group KShs.'000	Company KShs.'000
Interest payable on the Government				
of Kenya income notes	2,093	2,093	2,093	2,093
House sales deposits	23,630	-	1,524	-
Withholding tax payable	48,978	48,978	35,843	35,843
Sundry creditors	174,466	174,466	117,147	117,147
Other liabilities	858,283	636,372	383,228	196,395
	1,107,450	861,909	539,835	351,478

30. LOANS FROM BANKS

Group and company:	2014 KShs.'000	2013 KShs.'000
European Investment Bank	2,261,855	884,962
Ghana International Bank (London)	1,699,918	1,189,186
Norfund	1,005,333	-
International Finance Corporation	1,816,504	1,729,757
	6,783,610	3,803,905

During the year the Company received a USD 18.75 million loan from Ghana International Bank in London for a period of 3 years with effect from 31 December 2014 at the rate of 3 months USD LIBOR plus a margin of 5.50%. Both interest and principal of this facility are repayable on a quarterly basis. During the year, the company received three tranches from European Investment Bank of USD 7,088,000 at a rate of 5.037%, KShs. 356,283,794 at a rate 10.664% and KShs. 447,052,320 at a rate of 10.712% while in 2012 the Company received two loan tranches from European Investment Bank of KShs. 668,085,425 at 10.783 % and KShs. 211,000,000 at 11.269%. All the tranches are for a period of 7 years for lending to Small and Medium Enterprises in the real estate sector. Interest and principal are payable semi-annually with a 2 year grace period for principal repayments. A USD 20m loan was received from International Finance Corporation on 1 July 2013. The loan is for 7 years at a rate of 6 months USD Libor plus a margin of 4.30%. Interest is paid half yearly with a 3 year grace period on the principal loan repayment.

31. BORROWED FUNDS

Group:	2014 KShs.'000	2013 KShs.'000
Borrowed funds from Shelter Afrique	147,000	347,276

In 2012, Kenya Building Society Ltd (KBSL) which is a 100% owned subsidiary of Housing Finance Company of Kenya Ltd entered into a financing arrangement with Shelter Afrique for development of 162 housing units at Komarock Phase V. The total amount of the facility is KShs. 647 million secured by the land where the development is taking place. The loan is at Shelter Afrique's base rate currently at 13% plus 3.50% margin. Both interest and principal are payable on a quarterly basis.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

32. CORPORATE BOND

Group and company:	2014 KShs.'000	2013 KShs.'000
Corporate bond	10,000,000	10,000,000
Interest payable on Corporate bond	<u>212,502</u>	<u>212,469</u>
	<u>10,212,502</u>	<u>10,212,469</u>

In 2012, the company raised KShs. 2,969,100,000 which was the balance on the 7 year KShs. 10 billion medium term note (MTN) programme. The total amount is at a fixed rate of 13%.

In 2010, the company raised KShs. 7,030,900,000 under the 7 year MTN whose programme size is KShs. 10,000,000,000. The total notes on a fixed rate of 8.5% per annum amount to KShs. 5,865,400,000 while the total notes on floating rate are KShs. 1,165,500,000. The floating rate notes are on a margin of 3% plus 182 day Treasury bill rate of the last auction immediately preceding the interest payment date subject to a minimum of 5% per annum and maximum of 9.5% per annum.

33. CAPITAL AND RESERVES

Group and company:

(a) Ordinary share capital	2014 KShs.'000	2013 KShs.'000
Authorised:		
At 1 January		
235,750,000 ordinary shares of KShs. 5.00 each	1,178,750	1,178,750
264,250,000 (2013 – Nil) additional shares of KShs. 5.00 each authorized during the year	<u>1,321,250</u>	<u>-</u>
At 31 December		
500,000,000 (2013 – 235,750,000) ordinary Shares of KShs. 5.00 each	<u>2,500,000</u>	<u>1,178,750</u>

Issued and fully paid:

At 1 January:		
231,070,000 (2013 – 230,600,000) ordinary shares of KShs. 5.00 each	1,155,350	1,153,000
510,000 (2013 – 470,000) ordinary shares of KShs. 5.00 each issued in the year	<u>2,550</u>	<u>2,350</u>
At 31 December		
231,580,000 (2013 – 231,070,000) ordinary shares of KShs. 5.00 each	<u>1,157,900</u>	<u>1,155,350</u>

The holders of ordinary shares rank equally with regard to the Company's residual assets, are entitled to receive dividends declared from time to time and are entitled to one vote per share at annual general meetings of the company. Issued and fully paid ordinary shares were 231,580,000 as at 31 December 2014 (2013 – 231,070,000).

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

33. CAPITAL AND RESERVES (Continued)

During the year, 510,000 (2013, 470,000) ordinary shares were issued at KShs. 10 per share leading to a share premium of KShs. 5.00 per share issued.

(b) Share premium

This reserve arises when the shares of the company are issued at a price higher than the nominal (Par) value.

(c) Revaluation reserve

Revaluation reserve arise from the periodic revaluation of Group's assets. The book values of these assets are adjusted to the revaluations. Revaluation surpluses are not distributable.

(d) Statutory reserve

Where impairment losses required by legislation or regulations exceed those computed under International Financial Reporting Standards (IFRSs), the excess is recognised as a statutory reserve and accounted for as an appropriation of retained profits. These reserves are not distributable.

(e) Available-for-sale reserve

The available-for-sale reserve includes the cumulative net change in the fair value of available-for-sale investments and available-for-sale Treasury bonds, excluding impairment losses, until the investment is derecognised.

	2014 KShs.'000	2013 KShs.'000
As at 1 January	20,515	(36,503)
Change in fair value during the year		
Equity investments classified as available for sale	-	91,500
Disposal of equity investment	(61,500)	-
Treasury bonds classified as available for sale	(23,651)	(34,482)
	<u>(85,151)</u>	<u>57,018</u>
As at 31 December	<u>(64,636)</u>	<u>20,515</u>

34. SHAREHOLDERS' INCOME NOTES AND LOANS

	2014 KShs.'000	2013 KShs.'000
Group and company:		
Government of Kenya – Income Notes	<u>50,750</u>	<u>50,750</u>

The Government of Kenya – Income Notes carry no redemption date and are charged interest at a fixed rate of 8.25% per annum (2013 – 8.25%).

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

35. NOTES TO THE STATEMENT OF CASH FLOWS

(a) Reconciliation of operating profit to net cash flows from operating activities	2014 KShs.'000	2013 KShs.'000
Profit before taxation	1,400,653	1,480,356
Depreciation	77,198	68,700
Amortisation of intangible asset	12,710	10,397
Amortisation of prepaid operating lease rentals	647	644
Profit on sale of equity investment	(83,259)	-
Profit on sale of property and equipment	(54,212)	(1,696)
Decrease of balances with Central Bank of Kenya-CRR	(261,642)	(108,620)
Increase in customer deposits	9,598,725	3,569,555
Increase in mortgage advances to customers	(10,027,642)	(4,922,186)
Investment in Government securities	185	400,967
Decrease/(increase) in housing project	(196,525)	324,233
Loss on investment in joint ventures	18,251	-
Increase in other assets	94,851	(741,748)
(Decrease)/increase in other liabilities	567,615	(220,379)
Increase in borrowed funds	<u>2,779,462</u>	<u>2,266,292</u>
Net cash flows from operating activities before tax	3,927,017	2,126,515
Income tax paid	<u>(661,758)</u>	<u>(385,174)</u>
Net cash flows from operating activities	<u>3,265,259</u>	<u>1,741,341</u>

(b) Analyses of cash and cash equivalents

	2014 KShs.'000	2013 KShs.'000	Change in the year KShs.'000
Cash in hand and bank	2,968,926	921,338	2,047,588
Balances due from banking institutions	7,597,238	6,878,601	718,637
	10,566,164	7,799,939	2,766,225

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

36. CONTINGENT LIABILITIES

(a) Guarantees

As at 31 December 2014, the company had issued guarantees in the ordinary course of business to third parties amounting to KShs. 74.730 million (2013 – KShs. 31.518 million).

(b) Other contingent liabilities

In the ordinary course of business, the company and its subsidiaries are defendants in various litigations and claims. Although there can be no assurances, the Directors believe, based on the information currently available and legal advice, that the claims can be successfully defended and therefore no provision has been made in the financial statements. The significant claims are described below:

Kenya Building Society Limited (KBSL) is a 100% owned subsidiary of Housing Finance. The company entered into a joint venture agreement with Santack Limited for the development of a housing project in Komarock (Komarock Phase V). KBS terminated the contract because Santack Limited was unable to perform as per the contract. Upon termination of the contract Santack raised a claim of KShs. 340 million being their estimated loss following the termination of the contract. Housing Finance also raised a counter claim of KShs. 74 million. The matter was referred for arbitration as provided for in the joint venture agreement.

In the arbitration, the Claimant was seeking KShs. 24,880,000 together with the right to possession of the subject site (Title Number Nairobi Block/ 11344), as pursuant to the case filed with the High Court, the Respondent was permitted to stay on site. By way of counter-claim in the arbitration, Respondent claimed KShs. 376,550,205 in respect of monies put into the works, loss of profits or the current market value of the site, the costs of maintaining the site and general damages for defamation. The arbitrators ruled in favour of KBSL on 5 April 2012.

ICEA LION Group has sued Housing Finance and others for loss of KShs. 120m which were funds withdrawn by the third defendant, ICEA's former Assistant General Manager, and deposited with Nyaga Stock Brokers. The Company's advocates have filed a defence against ICEA.

In 2010, Kenya Revenue Authority carried out a tax audit of Housing Finance for the years 2006 – 2009 and raised a claim of KShs. 61,369,382 (including penalties and interest). Housing Finance appealed against KRA's assessments for KShs. 6,743,448 at the Local Committee and the appeal succeeded. However, KRA appealed against the local Committee decision at the High Court. The appeal was however dismissed by the High Court in November 2012. Out of the remaining balance of KShs. 51,142,134, KRA conceded KShs. 28,338,768, Housing Finance paid KShs. 6,205,446 and applied for waiver of penalties and interest amounting to 16,597,920 to the Cabinet Secretary for the National Treasury.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

37. OPERATING LEASE ARRANGEMENTS

Group and company:

The bank as a lessor

Rental income earned during the year was KShs. 40,097,205 (2013 – KShs. 38,921,219). At the reporting date, the company had contracted with tenants for the following future lease receivables:

	2014 KShs.'000	2013 KShs.'000
Within one year	34,893	35,220
In second to fifth year inclusive	82,309	92,343
After five years	-	3,315
	<u>117,202</u>	<u>130,878</u>

Leases are negotiated for an average term of 6 years and rentals are reviewed every two years. The leases are cancellable with a penalty when the tenants do not give three months' notice to vacate the premises.

The bank as a lessee

At the reporting date, the company had outstanding commitments under operating leases which fall due as follows:

	2014 KShs.'000	2013 KShs.'000
Within one year	46,813	22,654
In second to fifth year inclusive	177,262	62,321
After five years	12,137	1,652
	<u>236,212</u>	<u>86,627</u>

Operating lease payments represent rentals payable by the bank for its branches premises. Leases are negotiated for an average term of 6 years.

38. MORTGAGE COMMITMENTS

Group and Company:

Mortgage commitments amounting to KShs. 9,086,451,144 (2013 – KShs. 8,193,903,790) are analysed below:

	2014 KShs.'000	2013 KShs.'000
Commitment in principle but not authorised for payment	4,416,201	4,551,681
Authorised but not paid	<u>4,670,250</u>	<u>3,642,223</u>
	<u>9,086,451</u>	<u>8,193,904</u>

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

39. CAPITAL COMMITMENTS

	2014 KShs.'000	2013 KShs.'000
Group and company:		
Authorised but not contracted	<u>333,606</u>	<u>300,824</u>

40. ASSETS PLEDGED AS SECURITY

As at 31 December 2014, there were no assets pledged by the Group to secure liabilities nor secured Group liabilities other than as disclosed on Note 32.

41. RELATED PARTY TRANSACTIONS

Group and company:

The Group has entered into transactions with its employees as follows:

(a) Loans	2014 KShs.'000	2013 KShs.'000
At 1 January	806,073	798,657
Loans advanced during the year	280,398	269,286
Loans repayments received	<u>(252,252)</u>	<u>(261,870)</u>
At 31 December	<u>834,219</u>	<u>806,073</u>
Comprising:		
Mortgage advances	711,171	727,672
Personal loans	99,567	60,601
Staff car loans	25,305	17,111
Other	<u>(1,824)</u>	<u>689</u>
At 31 December	<u>834,219</u>	<u>806,073</u>

Included in related party are staff car loans of KShs 25,305,257 (2013 – KShs 17,111,361) and staff personal loans of KShs. 99,566,600 (2013 – KShs 60,600,843). The related interest income for staff car loans and staff personal loans in 2014 was KShs 1,307,419 (2013 – KShs 1,065,000) and KShs 5,367,734 (2013 – KShs 3,900,341) respectively.

In the normal course of business, transactions have been entered with certain related parties at commercial terms.

(b) Remuneration to Directors is disclosed under Note 10.

(c) Compensation to senior management including executive directors for the year ended 31 December 2014 amounted to KShs 215,654,186 (2013 – KShs 155,978,416).

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014 (Continued)

41. RELATED PARTY TRANSACTIONS (Continued)

	2014 KShs'000	2013 KShs'000
(d) Transactions with British-American Insurance Company (Kenya) Limited		
Bank balances held with Housing Finance Company of Kenya Limited	<u>380,635</u>	<u>250,031</u>
(e) Transactions with British-American Investment Company (Kenya) Limited		
Bank balances held with Housing Finance Company of Kenya Limited	<u>582,076</u>	<u>-</u>
(f) Transactions with British-American Assets Managers		
Bank balances held with Housing Finance Company of Kenya Limited	<u>164,856</u>	<u>-</u>

SHAREHOLDER'S PROXY

To: The Registrar

Housing Finance Company of Kenya Limited

Rehani House
Kenyatta Avenue
P.O. Box 30088
00100 NAIROBI GPO.

I/We _____

of _____

Being a member /members of HOUSING FINANCE COMPANY OF KENYA LIMITED hereby appoint

of _____

or failing him, the duly appointed Chairman of the meeting to be my/our proxy to vote for me/us on my/our behalf at the 49th Annual General Meeting of the Company to be held on the 24th day of April 2015, or at any adjournment thereof.

Number of shares held _____

Account number : _____ (if known)

Signed this _____ day of _____ 2015

Signed

Note:

1. In case of a member being a corporation, the proxy must be under the Common Seal or under the hand of an officer or attorney duly authorized.
2. The proxy form should be completed and returned to the Registrar by 11.00 am on 22th April 2015, failing which it will be invalid.

Kwa: Msajili,
Housing Finance Company of Kenya Limited
 Rehani House
 Kenyatta Avenue
 Sanduku la Posta. 30088
 00100 NAIROBI GPO.

Mimi / sisi _____

Kutoka _____

kama mwanachama / wanachama wa HOUSING FINANCE COMPANY OF KENYA LIMITED

Namteua _____

Kutoka _____

Au akikosa, Mwenyekiti aliyeteuliwa kuwa msimamizi wa mkutano kuwa wakala wangu/ wetu kupiga kura kwa niaba yangu/ sisi wakati wa mkutano Mkuu wa pamoja wa Mwaka wa Kampuni utakaofanyika Aprili 24, 2015 au kuahirishwa kwake.

Idadi ya hisa zinamilikiwa _____

Nambari ya akaunti _____ (endapo inajulikana)

Imetiwa sahihi tarehe _____ mwezi _____ 2015

Sahihi _____

Muhimu:

1. Endapo mwanachama atakuwa shirika, ni lazima fomu ya uwakilishi iwe imepigwa muhuri rasmi na kutiwa sahihi na Afisa au wakili aliyeldhinishwa kisheria
2. Fomu ya uwakilishi ijazwe kikamilifu na kurejeshwa kwa msajili kabla ya saa tano asubuhi Aprili 22, 2015 na ikikosa haitakuwa na maana yoyote.

CELEBRATING 50 Years OF GREAT HEADLINES



The 90's

In the 50 years Housing Finance has been in existence, we have developed major housing and infrastructure projects in Kenya. But by far the greatest achievement has been the great partnerships we have built with all stakeholders. We celebrate each partnership and look forward to building an even greater nation. Tusherekee pamoja!

Housing
Finance



CELEBRATING 50 Years OF GREAT HEADLINES

HF to revive its construction arm in expansion plan

FINANCE The firm will reduce controlling stake in KBS by inviting equity investors

The firm said that it plans to move its construction arm to the middle

HF launches mortgage plan for pension funds

HOUSING The RBA changed its rules to allow buying of homes

BY MWAGIRA KIMANI

Housing Finance is this morning expected to launch a mortgage product that allows borrowers to use their pension savings to secure home loans, unlocking the security barrier that has stood in the way of millions of Kenyans owning their own homes.

Lack of security to guarantee home loans has been a major barrier to housing finance in Kenya.



heavily in favour of those with high disposable incomes. It is also seen as a significant win for the self-employed who have been unable to access home loans in a market that favours those in formal employment who are judged to constitute less of a risk.

The advent of pension management schemes for the self-employed means those in the informal and agriculture sectors who have been unable to raise the security needed to access home loans will have access to property as they are employed.

As they are employed, pension funds can secure both the employee's contribution and the employer's contribution.

HF teams up with developers in new homes plan



Integrated settlements are the future because they create economic efficiency

GEORGE MWANGI, MD HOUSING FINANCE

petitive property pricing in urban and peri-urban areas.

The company yesterday launched the first such project under equity finance arrangement dubbed Flame Tree Park — a gated community consisting of 304 housing units on a 10-acre piece of land complete with shops and commercial space along the Garissa-Thika highway on the outskirts of Nairobi.

"In addition to this, the company is reviewing various large-scale housing projects by various developers. The cost of Sh200 million and is a precursor to plans for large-scale housing projects in Mombasa, Kisumu, Nakuru and Eldoret and satellite towns.

Under the arrangement, a selected crop of property experts will come up with designs and develop the housing units to ensure affordability while land owners will share from the proceeds once the houses are sold. Housing Finance will offer mortgage loans to potential customers.

The project is modelled along the concept of an integrated housing settlement, which offers customers access to all amenities within one location. "Integrated settlements are the future because they create economic efficiency and bring together all the elements that residents need," Ireri said.

Earlier in the month, Suruga Property Group working together with Standard Chartered Bank unveiled a similar project.

Apart from, Housing Finance and Suruga Properties, Ministry of Housing has adopted the concept for its urban renewal plans in Shauri Moyo estate which was initiated last month. Other firms which have undertaken or are planning such include Knight Frank, Villa Cove and Hase Consultants.

High land prices in areas that are close to the city centre and overheating house prices in the wake of cooling demand have also popularised equity financing as developers seek cheap money for construction.

In the millenium

In the 50 years Housing Finance has been in existence, we have developed major housing and infrastructure projects in Kenya. But by far the greatest achievement has been the great partnerships we have built with all stakeholders. We celebrate each partnership and look forward to building an even greater nation. Tusherekee pamoja!

Housing
Finance



Housing Finance
Tel. 020 3317474 / 3262000
Toll free no. 0800 721400
Email: housing@housing.co.ke
Website: www.housing.co.ke

Housing Finance is regulated by the Central Bank of Kenya